



BASICS OF LIFE INSURANCE

“One emergency can destroy years of savings without insurance.”

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INDEX

TOPIC	Page No
1. Why Life Insurance	5
2. Inflation – The Big Picture	10
3. Taxation System	18
4. Cost of Investment in Stock Market	24
5. Cost of Investment in Mutual Fund	28
6. Cost of Investment in SIP	46
7. Cost of Investment in Real Estate	52
8. Cost of Investment in Gold	58
9. Capital Gains Tax (CGT)	66
10. Cost of Small Saving Schemes	69
11. How Life Insurance Products protects	78
12. Why Annuity	82
13. Term Products- Truly Protections	100
14. Savings Products-Dual Protection	104

INDEX

TOPIC	Page No
15. ULIP Products	120
16. Why Axis Max Life is the Best	132
17. Why not ONLINE INSURANCE POLICIES	135
18. LIC Vs Axis Max Life	141

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AXIS MAX LIFE INSURANCE

WHY LIFE INSURANCE

Life is uncertain. A sudden death, accident, or serious illness can completely disturb family finances and force people to break investments or take loans. That is why Insurance is not an investment—it is protection

TERM INSURANCE-To protect family income & goals

- Provides high financial protection at a very low cost
- Ensures your family's expenses, loans, and future goals are taken care of in your absence
- Offers guaranteed payout when it is needed the most

HEALTH INSURANCE-To protect savings

- Protects savings from rising hospital and medical expenses
- Prevents medical emergencies from wiping out years of investments
- Gives access to quality healthcare without financial stress

Insurance = Foundation of a Strong Financial Plan

When protection is in place, investments can be continued peacefully even during difficult times.

Real-Life Examples for Middle-Class Families

For middle-class families, financial planning is not about high returns—it is about financial security and peace of mind. Insurance is not optional. It is the foundation of a safe and guaranteed financial future

Scenario 1: Working Family with Home Loan **PROFILE: Age: 35 years**

- Monthly income: ₹50,000
- Home loan: ₹30 lakh
- Child: 1 (age 5)

WITHOUT INSURANCE: The family invests regularly in SIPs and FDs. Suddenly, the earning member passes away.

- SIPs are stopped
- Home loan EMI continues, which are UNPAID
- Family struggles with daily expenses
- House is at risk due to unpaid EMIs

With Term Insurance (₹1 crore cover)

- Home loan is cleared immediately
- Monthly expenses are managed
- Child's education fund remains intact
- Family continues life with dignity

Lesson: Investments create wealth, but term insurance protects the family's survival

Scenario 2: Medical Emergency in a Middle-Class Household **PROFILE:**

- Age: 42 years
- Savings: ₹6 lakh
- No health insurance

Situation : A sudden hospitalization due to heart surgery costs ₹4.5 lakh

IMPACT

- Fixed deposits are broken
- Mutual funds are redeemed at the wrong time
- Long-term goals are delayed

With Health Insurance (₹10 lakh cover)

- Hospital bills are paid by Insurer
- Savings remain untouched
- Investments continue smoothly

Lesson: Health insurance protects your investments from medical shocks.

Scenario 3: Market Volatility vs Guaranteed Protection **PROFILE:**

- Age: 45 years
- Regular SIP investor

During a market crash:

- Mutual fund value drops temporarily
- Returns are uncertain

But if death occurs

- Market investments may not be enough
- Family needs immediate cash

With Term Insurance:

- Full sum assured is paid immediately and guaranteed
- Market conditions do not matter

Lesson: Markets fluctuate, but insurance delivers certainty when it matters most

Scenario 4: Retirement Planning Without Protection PROFILE:

- Age: 50 years
- Retirement Savings in Mutual Funds & Real Estate

If serious illness occurs:

- Property may need to be sold urgently
- Retirement corpus reduces drastically

With Health & Term Insurance

- Medical costs are covered
- Retirement funds remain intact
- Peaceful post-retirement life continues

Lesson: Insurance ensures retirement savings are not compromised.

CONCLUSION

While investments help in wealth creation, insurance ensures wealth protection. For a secure, stress-free, and guaranteed financial future, every family must first secure itself with adequate health and term insurance, and then invest for long-term goals. Insurance is not a cost—it is a responsibility towards your family.

Inflation — the last ~15 years: the big picture

Over the 2010s and early 2020s India's headline CPI inflation has moved through cycles:

A high-inflation phase around 2012–2014 (double-digit/near-double-digit spikes), a moderation period mid/late-2010s, then a renewed upswing around 2021–2022 (global commodity shocks + supply issues) and moderation again into 2024–2025.

Measured averages across the period are in the mid-single digits (roughly ~5–6% p.a. on average depending on the exact years and index used). Using an average ~5.71% p.a. as a representative figure calculated.

The most recent official releases show inflation easing into low-to-moderate territory in 2024–2025 (giving central banks room to cut rates), but food and core components can still move sharply and affect household budgets quickly.

What that means for a middle-class family — a concrete example (step-by-step arithmetic)

Assumption (illustrative):

current total annual household expenses	₹600,000 (₹50,000 per month).
average inflation	5.71% p.a.
horizon	15 years
Future price factor after 15 years	$(1 + 0.0571)^{15}$. $(1.0571)^{15} = \approx 2.30007$.

That means: prices $\approx 2.30\times$ what they are today (i.e., same basket that costs ₹6 lakh today will cost $\approx ₹6 \text{ lakh} \times 2.30007 \approx ₹13.8 \text{ lakh}$ in 15 years).

RBI's Frequent Repo Rate Cuts Are Hurting Safe Savings: In 2025, the Reserve Bank of India has cut the policy repo rate cumulatively by over 125 basis points (1.25%) amid slowing inflation and robust growth. This has improved credit conditions for borrowers — but it has simultaneously driven down returns on safe, low-risk savings

Put another way, ₹10 lakh of savings held as cash today, if not earning a return $>$ inflation, will have the **real purchasing power of about ₹10,00,000 $\div$ 2.30007 $\approx$ ₹4.35 lakh in today's rupee terms after 15 years.**

So—inflation more than doubles many costs over 15 years at mid-single-digit inflation rates That's why planning only with “nominal” amounts (the amounts you see today) underestimates what you'll need.

(Computations above use the representative average rate 5.71% p.a.; actual year-by-year inflation will change the precise factor.)



Value of ₹1 Crore Over Next 50 Years (Assuming 6% Inflation)

Year	Future Value of ₹1 Crore (in Lacs)	Percentage Loss in Value
2025	₹100 Lacs (₹1 Crore)	-
2030	₹74.72 Lacs	25.28%
2035	₹55.83 Lacs	44.17%
2045	₹31.18 Lacs	68.82%
2055	₹17.41 Lacs	82.59%
2065	₹9.72 Lacs	90.28%
2075	₹5.42 Lacs	94.58%

The image illustrates how **inflation at 6% per annum erodes the purchasing power of ₹1 crore over the next 50 years.**

Key Message: Even if the amount remains ₹1 crore nominally, its **real value (purchasing power)** keeps declining sharply due to inflation.

Snapshot of Impact (6% Inflation)

- **2025:** ₹1 crore = ₹100 lakhs (no loss)
- **2030:** Worth ~₹74.7 lakhs → **25% value lost**
- **2035:** Worth ~₹55.8 lakhs → **44% value lost**
- **2045:** Worth ~₹31.2 lakhs → **69% value lost**
- **2055:** Worth ~₹17.4 lakhs → **83% value lost**
- **2065:** Worth ~₹9.7 lakhs → **90% value lost**
- **2075:** Worth only ~₹5.4 lakhs → **~95% value erosion**

Core Insight

- **Inflation is a silent wealth destroyer**
- Keeping money idle (cash, low-yield savings, FDs below inflation) results in **massive long-term loss of real value**
- Long-term financial goals (retirement, legacy planning) **require growth-oriented investments** that beat inflation

Practical Takeaway

To preserve and grow wealth:

- Returns must **exceed inflation**
- Long-term instruments like **equities, pension plans, market-linked products, and inflation-beating assets** are essential

📌 **Conclusion:** ₹1 crore today may feel substantial, but without inflation-adjusted growth, it can become financially insignificant over time

2010 VS 2025

COST OF LIVING IN INDIA



COST OF LIVING IN INDIA (2010-2025)

2010 vs 2025 vs 2050

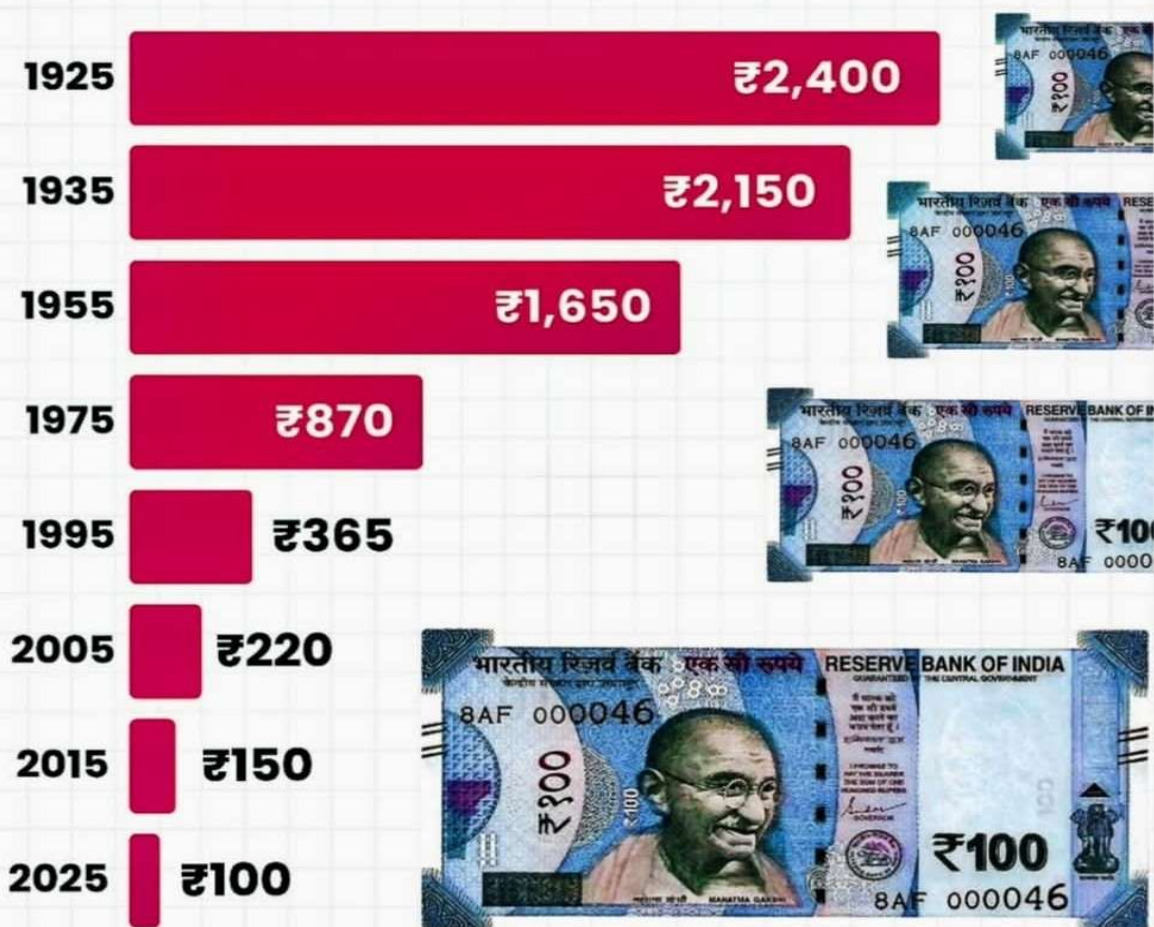
MONTHLY EXPENSES

	2010 (Expenses)	2025 (Expenses)	2050 (Expenses)
School	₹20-30k Annual	₹70-80k Annual	₹3.5-4.5 Lakhs
Knee surgery	₹1.5-4 Lakhs	₹5.5-9.5 Lakhs	₹39-45 lakhs
Petrol	₹52/Liter	₹100/Liter	₹330/Liter
Movie Ticket	₹100/200	₹300/500	₹300/500
Monthly Expenses	₹5,000	₹12,000	₹80,000
Monthly Expenses	₹10,000	₹27,000	₹1,15,000
Monthly Expenses	₹15,000	₹36,000	₹1,54,000
Monthly Expenses	₹20,000	₹48,000	₹2,06,000
Monthly Expenses	₹25,000	₹60,000	₹2,57,000

EXPENSES PATTERN (2010-2025)

THE PURCHASING POWER OF 100₹

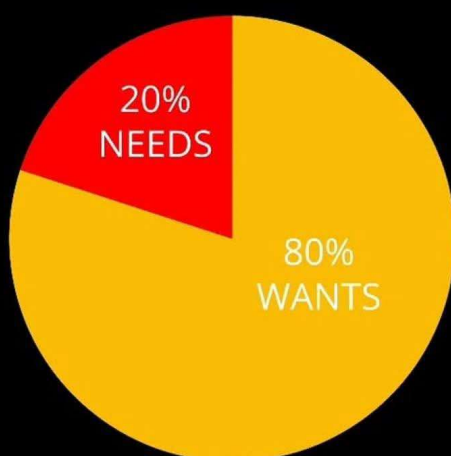
How much could ₹100 buy you 100 years ago vs today?



DECLINING PATTERN IN PURCHASING POWER OF INDIAN RUPEE (1925-2025)

WHY RICH GET RICHER

POOR PEOPLE



MIDDLE PEOPLE



WEALTHY PEOPLE



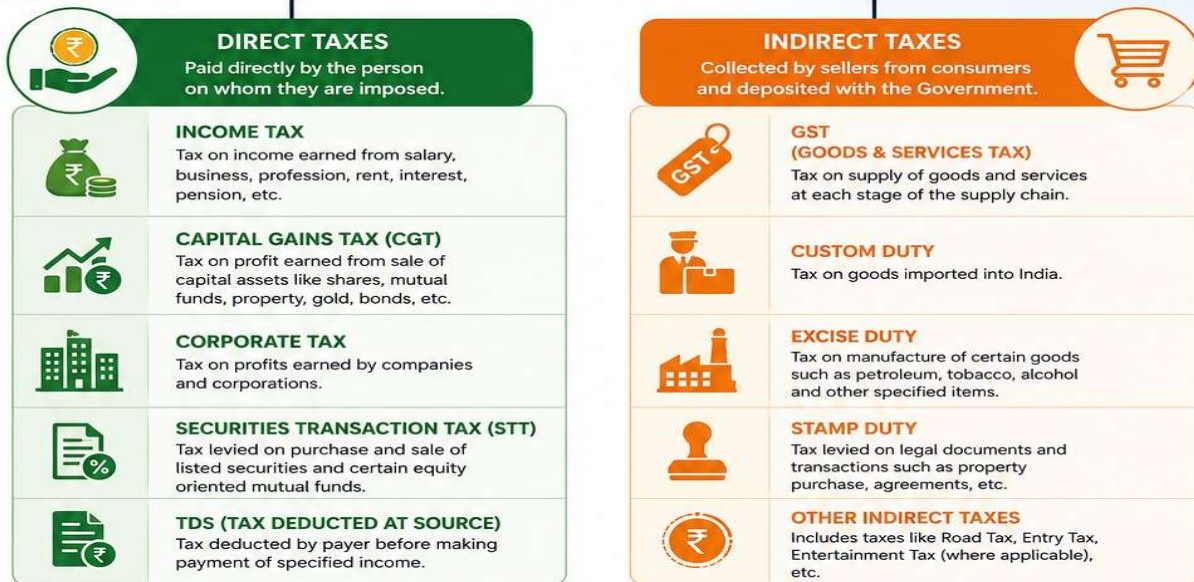
DIFFERENCE IN MINDSET AMONG DIFFERENT INCOME GROUPS IN INDIA

Basic Tax Structure in India



India follows a dual taxation system where taxes are levied by both the Central Government and the State Governments as per the Constitution of India.

TAXES IN INDIA



EXAMPLES OF TAXES ACROSS INVESTMENT AVENUES

SAVINGS ACCOUNT	FIXED DEPOSIT	PPF / EPF	NPS	EQUITY MUTUAL FUNDS	DEBT MUTUAL FUNDS	LISTED SHARES	GOLD INVESTMENTS	REAL ESTATE
Interest Taxable as per slab	Interest Taxable as per slab	EEE (Exempt-Exempt-Exempt)	Tax benefit on investment Partial tax on withdrawal / annuity	Dividends Taxable STCG/LTCG applicable	Tax treatment as per prevailing tax rules	Dividend Taxable STCG/LTCG applicable + STT	Capital Gains Tax applicable	Rental income taxable Capital Gains Tax applicable Stamp Duty applicable

EEE – Exempt at Investment, Exempt on Growth, Exempt on Withdrawal STCG – Short Term Capital Gains LTCG – Long Term Capital Gains

IMPACT OF TAXES ON INVESTMENT RETURNS

EXAMPLE
Investment: ₹10,00,000
Expected Return: 12% p.a.
Holding Period: 20 Years



Scenario	Before Tax	After Tax (Effective Return 10.5%)
Annual Return	₹1,20,000	₹1,05,000
Value after 20 Years	₹96.46 Lakh	₹73.82 Lakh
Wealth Reduced by Tax	-	₹22.64 Lakh
Effective Annual Return	12.00%	10.50%

Even a small tax can significantly reduce your long-term wealth due to the **POWER OF COMPOUNDING**.

HOW TAXES REDUCE RETURNS?

- Reduces Compounding:** Lower post-tax returns means lower corpus over time.
- Increases Cost of Investment:** Transaction taxes, stamp duty and other charges reduce your net gains.
- Affects Cash Flow:** TDS and tax outgo reduce take-home income for reinvestment.
- Different Tax Treatment across Assets:** Right asset allocation with tax efficiency is crucial.

KEY TAKEAWAYS

- Understand which taxes apply to your income and investments.
- Choose tax-efficient investment options.
- Use deductions and exemptions available under the law.
- Tax planning is not tax evasion. Always invest within legal limits.
- Review your portfolio regularly and plan taxes in advance.

TAX-EFFICIENT INVESTMENT OPTIONS

				
★★★★★	★★★★☆	★★★★☆	★★★★☆	★★★★☆

“Smart Tax Planning is the key to Higher Returns and Long-Term Wealth Creation.”

Note: Tax laws are subject to change. Please consult your tax advisor for personalized advice.

YOU PAY MORE TAXES THAN YOU THINK!



COMMENT "TAXES" FOR COMPLETE GUIDE

Tax Type	Meaning	When Levied?	Example
Income Tax	Tax on yearly income	Filed annually	Salary is ₹15 lakh, tax is ₹97,500 (new regime)
Surcharge	Extra tax for high income	Above ₹50L income	10% extra at ₹60L
Cess	4% additional tax	After tax + surcharge	₹1L tax → ₹4K cess
Capital Gains Tax	Tax on asset profits	On sale	Selling shares/property
STT	Tax on stock trades	Auto-deducted on buy/sell	Trading on NSE/BSE
GST	Tax on goods & services	Every purchase	GST on electronics
Customs Duty	Tax on imports	When goods enter India	Buying from abroad
Excise Duty	Tax on fuel & tobacco	Included in price	Petrol
Stamp Duty	Tax on property papers	At registration	Buying a house
Property Tax	Municipal property tax	Yearly	Owning a flat
Road Tax	Tax for vehicle use	At purchase	Buying a car
Professional Tax	State tax on salary	Monthly (select states)	Salary deduction
TDS	Tax deducted before payment	When income is credited	FD interest
TCS	Seller collects tax – like advance tax adjusted in ITR	On specified spends	Foreign tour, car purchase



Plan your taxes before they plan your finances
— TaxHelpdesk

FOLLOW TAXHELPDESK.IN ON    

Taxation: Types, Description & Impact on Investment Returns

India has a **dual taxation system**, where taxes are levied by both the **Central Government** and the **State Governments** under the Constitution of India. Broadly, taxes are classified into **Direct Taxes** and **Indirect Taxes**. The tax system is administered primarily by the **Central Board of Direct Taxes (CBDT)** for direct taxes and the **Central Board of Indirect Taxes and Customs (CBIC)** for indirect taxes

1. Direct Taxes : Direct taxes are paid **directly by the person or entity on whom they are imposed** and cannot be shifted to another person.

Tax Type	Description	Who Pays?	Impact on Investment
Income Tax	Tax on salary, business income, pension, rental income, etc.	Individual/HUF/Firm	Reduces disposable income available for investments
Capital Gains Tax (CGT)	Tax on profit earned from sale of investments or assets.	Investor	Directly reduces investment returns.
Corporate Tax	Tax on company profits.	Companies	May reduce company profitability and dividends
Securities Transaction Tax (STT)	Charged on purchase/sale of listed securities.	Investors	Increases transaction cost.
TDS (Tax Deducted at Source)	Tax deducted before payment of income.	Recipient	Impacts cash flow until tax credit is claimed

2. Indirect Taxes : Indirect taxes are collected by sellers from consumers and deposited with the Government.

Tax Type	Description	Impact on Investor
GST (Goods & Services Tax)	Tax on goods and services	Reduces purchasing power and increases cost of living
Custom Duty	Tax on imported goods	Makes imported products costlier
Stamp Duty	Applicable on property transactions & certain financial instruments	Increases acquisition cost of investments.

Taxes Applicable on Major Investment Avenues

Investment	Tax on Income	Tax on Capital Gain	Remarks
Savings Account	Interest taxable (subject to deductions where applicable)	Not Applicable	Annual interest taxable.
Fixed Deposit	Interest taxable as per income slab	Not Applicable	TDS applicable beyond prescribed limits.
NPS	Taxable on certain withdrawals/annuity	Partial exemptions	Retirement-oriented product.
Equity Mutual Funds	Dividends taxable	STCG/LTCG applicable	Tax-efficient for long-term investing.
Debt Mutual Funds	Tax treatment depends on prevailing law	Applicable	Rules have changed in recent years.
Listed Shares	Dividend taxable	STCG/LTCG applicable	STT also payable
Gold	Depends on form	Capital gains applicable	Physical, ETF and Sovereign Gold Bond differ
Real Estate	Rental income taxable	Capital gains applicable	Stamp duty also payable

Impact of Taxes on Investment Returns

Suppose an investor earns **12% annual return** on an investment of **₹10,00,000**.

Particulars	Without Tax	With Tax
Investment	₹10,00,000	₹10,00,000
Annual Return @12%	₹1,20,000	₹1,20,000
Tax (Illustrative)	Nil	₹15,000
Net Return	₹1,20,000	₹1,05,000
Effective Return	12.00%	10.50%

Even a modest tax liability reduces the investor's **effective rate of return**, and over long periods this reduction compounds significantly.

Illustration of Tax Impact Over 20 Years

Assume ₹10 lakh invested for 20 years.

Scenario	Annual Return	Value after 20 Years
No Tax	12%	₹96.46 lakh
After-tax Return (10.5%)	10.5%	₹73.82 lakh

Difference: ₹22.64 lakh

This demonstrates that taxes can substantially reduce long-term wealth creation because of the effect on compounding.

Types of Taxes Affecting Investors

Income Tax	Capital Gains Tax	C. Dividend Tax	D. Securities Transaction Tax (STT)	E. Stamp Duty
• Salary • Pension • Interest • Rental income • Business income	• Equity shares • Mutual funds • Property • Gold • Bonds	• Dividends are generally taxable in the hands of investors under current rules.	Levied on transactions in listed equity shares and certain equity-oriented mutual funds	Payable on property purchases and certain securities transactions

Key Takeaways

- **Direct Taxes** affect your income and investment profits directly.
- **Indirect Taxes** increase the cost of goods and services, indirectly reducing the amount available for investment.
- **Capital Gains Tax** has one of the biggest effects on investment returns because it reduces realised gains.
- **Tax-efficient investment planning** can significantly improve long-term wealth creation.

INVESTMENT IN STOCK MARKETS

 INCOME TAX TREATMENT OF SHARE MARKET TRANSACTIONS 					
S. NO.	TYPE OF TRANSACTION	HEAD OF INCOME	TAX RATE	LOSS SET OFF PROVISION	PERIOD OF CARRY FORWARD OF LOSS
1	SHORT TERM CAPITAL GAINS (SECTION 111A) 	Capital Gains	20%	Can be set off against STCG and LTCG	8 Assessment Years
2	LONG TERM CAPITAL GAIN (SECTION 112A) 	Capital Gains	12.5% on gains exceeding ₹1.25 lakh	Can be set off only against LTCG	8 Assessment Years
3	INTRADAY TRADING 	Speculative Business Income	As per Slab Rate	Can be set off only against Speculative Business Income	4 Assessment Years
4	FUTURES & OPTIONS (F&O) 	Non-Speculative Business Income	As per Slab Rate	Can be set off against any business income (except salary)	8 Assessment Years
5	OTHER LONG TERM CAPITAL ASSETS (SECTION 112) 	Capital Gains	Generally 12.5%	Can be set off only against LTCG	8 Assessment Years
6	OTHER SHORT TERM CAPITAL ASSETS 	Capital Gains	As per Applicable Slab Rate	Can be set off against STCG and LTCG	8 Assessment Years
KEY TAKEAWAY - Equity STCG (Sec 111A): 20% - Equity LTCG (Sec 112A): 12.5% above ₹1.25 lakh - Intraday Trading: Speculative Business Income - F&O Trading: Non-Speculative Business Income - Capital Losses generally carry forward for 8 years - Speculative Losses carry forward for 4 years					

Buying shares of a company listed on stock exchanges (NSE / BSE). You become a part-owner of the company.

HOW IT WORKS

- Open Demat + Trading account
- Buy shares at market price
- Hold or sell later at higher price

HOW YOU EARN

1. **Capital Appreciation** – Share price rises
2. **Dividends**: Company shares profits with shareholders

COST OF INVESTMENT (COI)

TYPE OF TAX/CHARGE	RATE
Securities Transaction Tax (STT)	0.001 – 0.1%
Capital Gain Tax (CGT)	5 – 15%
Short Term CGT (<1 Year)(STGC)	15%
Mod-Term (1-3 Years)	10%
Long Term CGT (>3 Year)(LTGC)	5%
Goods and Services Tax (GST) on Brokerage	18%
Brokerage Charges	Brokerage Charges 0.01-0.5%
Transaction Charges	₹1.50-₹6.50 per trade
Other Charges (Demat etc.)	₹100-₹500 per annum
OTHER CHARGES/TAXES 1. Brokerage Charges (for buying/selling securities) 2. Interest Expenses (For Borrowings) 3. Operating Expenses (Marketing, Distribution) 4. Compliance Costs	

TOTAL EXPENSES RATIO (TER)

The TER represents the total costs associated with investing in Stock & mutual fund. It includes Management Fees, Administrative Charges, Custodian Charges, and other expenses

ASSUMPTIONS: Here's an estimated return on investment (ROI) for ₹1 lakh invested in the Indian stock market, considering various taxes and charges

Stocks (Equity) : Expected ROI: 8–12% p.a.

• Taxes & Charges:

- STT: 0.001–0.1%
- CGT: 10–20%
- GST on brokerage: 18%
- Brokerage costs

Net ROI: ~6.5–9.5%

- Investment Horizon: 1-5 Years
- Risk Profile: MODERATE to AGGRESSIVE
- Investment strategy: Diversified portfolio (Large-Cap, Mid-Cap, Small-Cap)
- Brokerage: ₹20-50 per trade (discount brokerage)
- Tax slab: 10-30% (individual taxpayer)

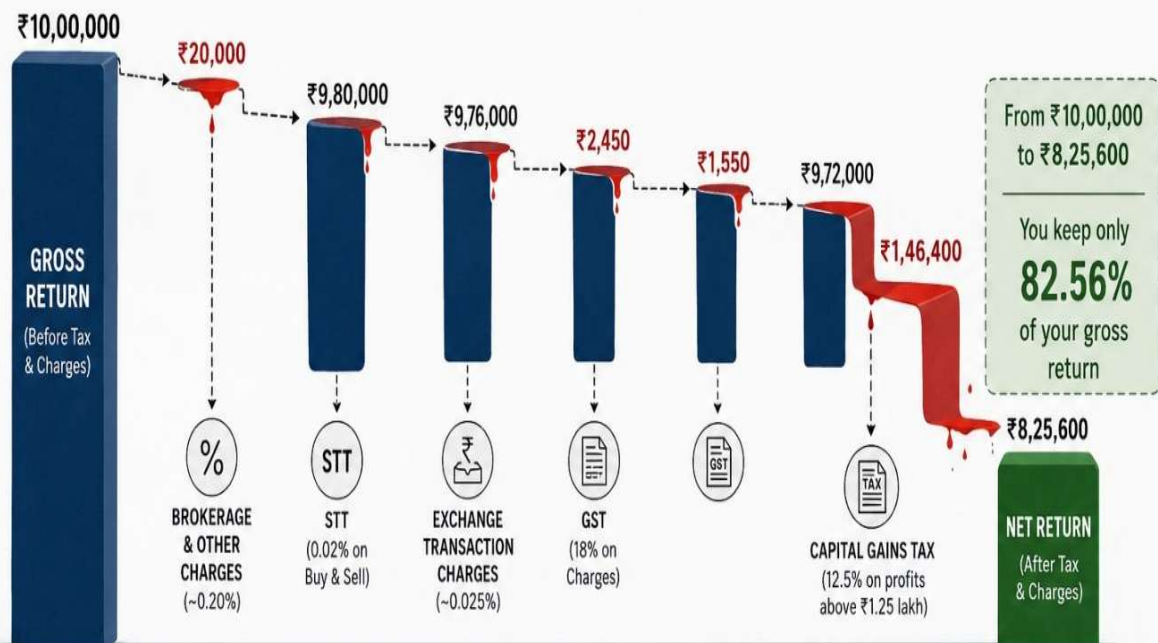
EXPECTED RETURNS ON INVESTMENT (ROI)

	PRE-TAX	POST-TAX
Conservative Estimate	8-12% p.a. (largecap oriented)	5.5-8.5% p.a.
Moderate estimate	10-15% p.a. (Diversified Portfolio)	7-11% p.a.
Aggressive Estimate	12-18% p.a. (Diversified Portfolio)	9-14% p.a.

HOW TAXATION & CHARGES REDUCE RETURNS IN STOCKS IN INDIAN MARKET



Every charge & tax takes a bite out of your hard-earned returns.



THE IMPACT:

Even before tax, charges eat into your returns.
After tax, a significant portion of your profit is gone.

HIGHER TAX & CHARGES = LOWERS YOUR REAL RETURNS



Remember:

It's not just the market that decides your returns, but also taxes & charges.

BE TAX-EFFICIENT. INVEST SMART.

Note: Numbers are for illustration purpose only. Rates as per FY 2024-25.

INVESTMENT IN MUTUAL FUNDS

7 MUTUAL FUND TYPES YOU SHOULD KNOW BEFORE INVESTING



Different funds. Different goals.
Choose what fits your journey.

01



EQUITY FUNDS

These are the most common type of mutual fund. They primarily invest in stocks (shares) of publicly traded companies.



Goal: Long-term capital appreciation.



Risk Profile: High



Sub-types: Large-cap, Mid-cap, and Small-cap funds.

02



DEBT (FIXED INCOME) FUNDS

Debt funds invest in fixed-income securities like government bonds, treasury bills, and corporate debentures.



Goal: Steady income and capital preservation.



Risk Profile: Low to Moderate



Best for: Shorter time horizon or low risk appetite.

03



HYBRID (BALANCED) FUNDS

Invest in a mix of both equity and debt. The ratio can be fixed or flexible depending on the fund's objective.



Goal: The "best of both worlds" — growth from stocks and stability from bonds.



Risk Profile: Moderate



Best for: New investors seeking balanced exposure.

04



INDEX FUNDS (PASSIVE FUNDS)

Replicate a specific market index, like the S&P 500 or the Nifty 50, instead of picking stocks actively.



Goal: To match the performance of the market index.



Cost: Lower management fees (low expense ratios).



Risk Profile: Matches the risk of the index it tracks.

05



LIQUID FUNDS

Invest in very short-term market instruments (maturing in up to 91 days).



Goal: High liquidity and capital safety.



Risk Profile: Very Low



Use Case: Alternative to savings account for emergency funds or idle cash.

06



SECTOR OR THEMATIC FUNDS

Invest specifically in one sector of the economy, such as Technology, Healthcare, or Banking.



Goal: High returns by betting on a specific industry's growth.



Risk Profile: Very High



Note: Lack of diversification increases risk.

07



ELSS (EQUITY LINKED SAVINGS SCHEME)

Equity funds with a lock-in period (usually 3 years) and tax benefits.



Goal: Tax saving combined with equity growth.



Risk Profile: High (Equity-based)



Key Feature: Shortest lock-in period among tax-saving options.

Mutual Funds are investment vehicles that pool money from multiple investors to invest in a diversified portfolio of stocks, bonds, or other securities in:

- Equity
- Debt
- Hybrid
- Gold etc.

HOW IT WORKS

- You invest in units
- Fund manager invests on your behalf
- NAV (Net Asset Value) changes daily

HOW YOU EARN

- NAV Appreciation
- Occasional Dividends (if chosen)

LIQUIDITY

- High (1–3 working days redemption)

BEST FOR: Investors who want market exposure without direct stock selection

EQUITY FUNDS

Investment Focus: Equity funds invest primarily in shares of listed companies across LARGE-CAP, MID-CAP & SMALL-CAP Segments

Return Potential: High potential for long-term wealth creation, especially over investment horizons of 7–10 years or more.

Risk Profile: High risk, as returns are directly linked to stock market movements, business cycles, and economic conditions.

Suitable For: Investors with:

- Long-Term Goals
- High Risk Tolerance
- Ability to stay invested during market volatility

Here's a detailed breakdown of expected returns on investment (ROI) for ₹1 lakh in mutual funds after considering taxes and charges in India:

EXPECTED ANNUAL RETURN:8-12%

TAXES & CHARGES

1. Dividend Distribution Tax (DDT): 10%
2. Capital Gains Tax (CGT): 12-20%
3. Securities Transaction Tax (STT): 0.001
4. GST: 18% on management fees
5. Exit load: 0.5-2%
6. Management fees: 0.5-2.5

NET RETURN:5.5-8.5%

DEBT FUNDS

Investment Focus: Debt funds invest in fixed-income securities such as

1. Government Bonds
2. Corporate Debentures
3. Treasury Bills
4. Money Market Instruments

Return Potential: Moderate and relatively stable returns compared to equity funds.

Risk Profile : Low to Moderate risk, influenced mainly by:

- Interest rate changes
- Credit quality of issuers

Suitable For: Conservative investors seeking

- Capital Preservation
- Predictable income
- Lower volatility than equity

ROI - DEBT FUNDS

EXPECTED ANNUAL RETURN: 5 - 8%

TAXES & CHARGES

1. Dividend Distribution Tax (DDT): 25% (Individual) & 30% (Companies)
2. Capital Gains Tax (CGT): 20-30%
3. GST: 18% on management fees
4. Exit load: 0.5-2%
5. Management fees: 0.5-2.5%

NET RETURN: 3.5-6.5%

HYBRID FUNDS

Investment Focus: Hybrid Funds allocate investments between EQUITY AND DEBT in varying proportions (e.g., BALANCED, AGGRESSIVE HYBRID, CONSERVATIVE HYBRID).

Return Potential: Balanced returns—higher than pure debt but lower than pure equity in most market conditions.

Risk Profile: Moderate risk, as debt portion cushions equity volatility.

Suitable For: Investors looking for:

- Balanced Growth and Stability
- Medium- to Long-Term Goal
- Moderate risk appetite

ROI - HYBRID FUNDS

EXPECTED ANNUAL RETURN: 6 - 10 %

TAXES & CHARGES

1. Dividend Distribution Tax (DDT): 10 - 25%
2. Capital Gains Tax (CGT): 12 - 20%
3. GST: 18% on Management Fees
4. Exit load: 0.5-2%
5. Management fees: 0.5-2.5%

NET RETURN: 4.5-7.5%

LIQUID FUNDS

Investment Focus: Liquid Funds invest in very SHORT-TERM instruments such as:

- Treasury Bills
- Commercial Papers
- Certificates of Deposit (typically with maturity up to 91 days)

Return Potential: Lower but stable returns, generally higher than savings accounts.

Risk Profile: Low risk, with minimal interest rate and credit risk.

Suitable For: Investors looking for:

- Emergency Funds
- Parking Surplus Cash
- High liquidity with safety

ROI - LIQUID FUNDS

EXPECTED ANNUAL RETURN: 4.5 - 7.5 %

TAXES & CHARGES

1. Dividend Distribution Tax (DDT): 25 % (INDIVIDUAL), 30 % COMPANIES
2. Capital Gains Tax (CGT): 20 - 30%
3. GST: 18% on Management Fees
4. Exit load: 0.5-2%
5. Management fees: 0.5-2.5%

NET RETURN: 4 - 6%

SECTORAL / THEMATIC FUNDS

Investment Focus: Invest in a specific Sector or such as:

- Banking or Financial Sectors
- I.T.
- Pharma
- Infrastructure
- ESG or consumption themes

Return Potential: Very high when the chosen sector performs well.

Risk Profile: High risk, due to lack of diversification and sector concentration.

Suitable For: Experienced Investors looking for:

- Understand sector cycles
- Can tolerate sharp volatility
- Invest tactically, not for core allocation

INDEX FUNDS

Investment Focus: Index funds replicate the performance of a market index such as:

- Nifty 50
- Sensex
- Nifty Next 50

Return Potential: Market-linked returns, closely aligned with index performance.

Risk Profile: Moderate risk, reflecting overall market risk but with reduced fund manager bias.

Suitable For: Investors looking for:

- Low-cost investing
- Transparent strategy
- Long-term market participation

EXCHANGE TRADED FUNDS (ETFs)

Investment Focus: ETFs are market-traded funds that may track:

- EQUITY INDICES
- GOLD OR COMMODITIES
- BONDS
- INTERNATIONAL MARKETS

Return Potential: Aligned with the underlying asset or index..

Risk Profile: Moderate risk, depending on the underlying asset class.

Suitable For: Investors looking for:

- Prefer real-time trading
- Have DEMAT & TRADING ACCOUNTS

ROI - INDEX/ETF FUNDS

EXPECTED ANNUAL RETURN: 7 - 11 %

TAXES & CHARGES

1. STOCK TRANSACTION TAX (STT): 0.001-0.1%
2. Capital Gains Tax (CGT): 10 - 20%
3. GST: 18% on Management Fees
4. Exit load: 0.5-2%
5. Management fees: 0.1-0.5%

NET RETURN: 6 - 9.5%

ROI - EQUITY LINKED SS (ELSS)

EXPECTED ANNUAL RETURN: 8 - 12 %

1. DIVIDENT DISTRIBUTION TAX (DDT) - 10%
2. STOCK TRANSACTION TAX (STT): 0.001-0.1%
3. Capital Gains Tax (CGT): 10 - 20%
4. GST: 18% on Management Fees
5. Exit load: 0.5-2%
6. Management fees: 0.5-2.5%

NET RETURN: 5.5 - 8.5%

Expected ROI vs Net ROI (After Taxes)

MF TYPE & PRE-TAX ROI	TAXES/CHARGES	NET ROI
EQUITY FUNDS <u>8-12%</u>	1. Dividend Distribution Tax (DDT): 10% 2. Capital Gains Tax (CGT): 12-20% 3. Securities Transaction Tax (STT): 0.001-0.1% 4. GST: 18% on management fees 5. Exit load: 0.5-2% 6. Management fees: 0.5-2.5%	<u>5.5-8.5%</u>
DEBT FUNDS <u>5 - 8%</u>	1. Dividend Distribution Tax (DDT): 25% (Individual) & 30% (Companies) 2. Capital Gains Tax (CGT): 20-30% 3. GST: 18% on management fees 4. Exit load: 0.5-2% 5. Management fees: 0.5-2.5%	<u>5.5-8.5%</u>
HYBRID FUNDS <u>4.5 - 7.5 %</u>	1. Dividend Distribution Tax (DDT): 10 - 25% 2. Capital Gains Tax (CGT): 12 - 20% 3. GST: 18% on Management Fees 4. Exit load: 0.5-2% Management fees: 0.5-2.5%	<u>4.5-7.5%</u>
LIQUID FUNDS <u>4.5 - 7.5 %</u>	1. Dividend Distribution Tax (DDT): 25 % (INDIVIDUAL), 30 % COMPANIES 2. Capital Gains Tax (CGT): 20 - 30% 3. GST: 18% on Management Fees 4. Exit load: 0.5-2% 5. Management fees: 0.5-2.5%	<u>4 - 6%</u>

MF TYPE & PRE-TAX ROI	TAXES/CHARGES	NET ROI
INDEX/ETF FUNDS <u>7 - 11 %</u>	1. STOCK TRANSACTION TAX (STT): 0.001-0.1% 2. Capital Gains Tax (CGT): 10 - 20% 3. GST: 18% on Management Fees 4. Exit load: 0.5-2% Management fees: 0.1-0.	<u>6 - 9.5%</u>
EQUITY LINKED SS (ELSS) <u>8 - 12 %</u>	1. DIVIDENT DISTRIBUTION TAX (DDT) - 10% 2. STOCK TRANSACTION TAX (STT): 0.001-0.1% 3. Capital Gains Tax (CGT): 10 - 20% 4. GST: 18% on Management Fees 5. Exit load: 0.5-2% 6. Management fees: 0.5-2.5%	<u>5.5 - 8.5%</u>

Why Net ROI (%) is Lower Than Expected ROI (%) in Mutual Funds

Expected ROI in Mutual Funds is a theoretical, gross return projected based on:

- Historical Market Performance
- Fund Strategy and Asset Allocation
- Long-term average assumptions

However, **Net ROI is what the investor actually receives, and it is always lower due to multiple unavoidable real-world factors.**

Key Reasons (Independent of Market Fluctuations)

Expense Ratio (Direct Reduction Every Year)

- Fund houses deduct expense ratio annually (0.5%–2.5%)
- This reduces NAV daily, not just at exit
- Even in a rising market, this cost continuously eats returns

Example: Expected Market Return = 12%
Expense Ratio = 1.8%

→ Effective Return becomes ~10.2% before tax

Taxation on Gains (Inevitable)

Taxes apply only on actual gains. Instrument Tax Impact

- Equity MF - 12.5% LTCG above ₹1.25L
- Debt MF - Taxed at slab rate
- SIP Each instalment taxed separately

Even a strong market year does not escape taxation.

SIP Timing & Rupee Cost Averaging Effect

Expected ROI assumes lump-sum compounding, but:

- SIP investments happen at different NAVs
- Some instalments perform well, others poorly
- Resulting IRR is always lower than assumed CAGR

This happens even in consistently rising markets

Cash Drag & Portfolio Rebalancing

- Funds maintain cash holdings
- Periodic rebalancing & churn costs
- Entry–exit impact cost on large trades

These reduce performance silently and permanently

Behavioral Gap (Investor Actions)

Most investors: - Enter late in bull markets

- Exit early during volatility
- Pause SIPs during corrections

TAX TREATMENT IN MF REDEMPTION

REDEEMING YOUR MUTUAL FUNDS?

Here's what it actually costs you

> WHAT HAPPENS WHEN YOU REDEEM?



Units are sold at the current NAV



Compounding stops on redeemed units



Tax may apply on capital gains

> REDEEMING CAN TRIGGER TAX

CAPITAL GAIN TAX ON EQUITY FUNDS		
Type	Holding Period	Tax Rate
STCG (Short Term)	Up to 1 Year	20%
LTCG (Long Term)	More than 1 Year	12.5%*

CAPITAL GAIN TAX ON DEBT FUNDS		
Investment Date	Holding Period	Tax Treatment
On or After April 1, 2023	Any Duration	As per Income Tax Slab (No Indexation)
Before April 1, 2023	≤ 24 Months	As per Income Tax Slab
	> 24 Months	12.5% Flat Rate (No Indexation)

EXAMPLE

You Redeem ₹5.5 lakh from a ₹10 lakh mutual fund portfolio

PORTFOLIO DETAILS	
Portfolio Value (Today)	₹10,00,000
Total Redemption	₹5,50,000
Invested Value	₹3,90,000
Capital Gain	₹1,60,000
Investment Tenure	3 Years
XIRR	12% p.a.

TAX CALCULATION	
Capital Gain	₹1,60,000
Less: LTCG Exemption	₹1,25,000
Taxable Gain	₹35,000
LTCG Tax @ 12.5%	₹4,375

* Applicable on gains exceeding ₹1.25 lakh in a financial year.



Tax Payable Today
₹4,375

But tax isn't your biggest loss.

The real cost is the opportunity cost of interrupting compounding.

> NEED ₹5.5 LAKH TODAY?

OPTION 1: REDEEM		
₹10 Lakh Portfolio	>	Redeem ₹5.5 Lakh
	>	Only ₹4.5 Lakh Remains Invested

VS

OPTION 2: LOAN AGAINST MUTUAL FUNDS		
₹10 Lakh Portfolio	>	Get ₹5.5 Lakh Liquidity
	>	₹10 Lakh Remains Invested

> THE HIDDEN COST OF REDEEMING

Time Horizon	If You Redeem (₹4.5 Lakhs Remains Invested)	If You Take an LAMF (₹10 Lakhs Remains Invested)	Difference in Future Wealth
3 After 3 Years	₹6.32 Lakhs	₹14.04 Lakhs	₹7.72 Lakhs
5 After 5 Years	₹7.93 Lakhs	₹17.62 Lakhs	₹9.69 Lakhs
10 After 10 Years	₹13.98 Lakhs	₹31.06 Lakhs	₹17.08 Lakhs

This infographic conveys a very important financial planning concept: redeeming a mutual fund is not just about paying tax—it can also interrupt the power of compounding. The right choice depends on the investor's financial goals, liquidity needs, and risk profile.

Redeeming Your Mutual Funds – The Hidden Cost Beyond Taxes

Many investors believe that the only cost of redeeming mutual funds is the capital gains tax. In reality, the biggest cost is often the loss of future compounding, because the redeemed money is no longer invested and growing.

1. What Happens When You Redeem Mutual Funds?

When you redeem: Your mutual fund units are sold at the prevailing NAV. You receive the redemption amount.

Capital Gains Tax may become payable. The redeemed amount stops earning future returns.

The last point is the most significant because compounding works best when investments remain untouched for long periods.

2. Tax Implications: Equity Mutual Funds

- Short-Term Capital Gain (STCG)
- Holding period: Up to 1 year
- Tax Rate: 20%
- Long-Term Capital Gain (LTCG)
- Holding period: More than 1 year
- Tax Rate: 12.5%
- Annual exemption available up to ₹1.25 lakh of LTCG.

Debt Mutual Funds

Investments made on or after 1 April 2023: Taxed according to the investor's income tax slab .No indexation benefit.

Investments made before 1 April 2023: Up to 24 months: Tax as per slab. More than 24 months:

12.5% (subject to prevailing tax rules applicable to those investments).

3. Example Explained

Suppose: Portfolio Value = ₹10,00,000

You redeem = ₹5,50,000

Cost of those units = ₹3,90,000

Capital Gain = ₹1,60,000

Since LTCG exemption is ₹1,25,000

Taxable Gain : ₹1,60,000 – ₹1,25,000 = ₹35,000

Tax @12.5% : = ₹4,375

Therefore, Immediate tax liability = ₹4,375

4. The Real Hidden Cost – Loss of Compounding

Assume the portfolio was earning approximately 12% annualized returns. **If you redeem ₹5.5 lakh. Only ₹4.5 lakh remains invested.**

MF ROI TREND

CONT/YEAR 120000
INVESTMENT TERM 30 YEARS
PROJ AVG ROI 15%
MARKET CRASH 1 EVERY 5 YEARS (APPROX)

YEAR	CONT/YEAR	ACCUMULATED CORPUS	INVESTMENT RATE	YIELD AMOUNT
1	120,000.00	120,000.00	15%	120,000.00
2	120,000.00	240,000.00	20%	256,000.00
3	120,000.00	360,000.00	25%	429,600.00
4	120,000.00	480,000.00	15%	657,000.00
5	120,000.00	600,000.00	-20%	875,550.00
6	120,000.00	720,000.00	15%	820,440.00
7	120,000.00	840,000.00	20%	1,063,506.00
8	120,000.00	960,000.00	25%	1,396,207.00
9	120,000.00	1,080,000.00	15%	1,865,259.00
10	120,000.00	1,200,000.00	-30%	2,265,048.00
11	120,000.00	1,320,000.00	15%	1,705,533.00
12	120,000.00	1,440,000.00	20%	2,081,364.00
13	120,000.00	1,560,000.00	25%	2,617,636.00
14	120,000.00	1,680,000.00	15%	3,392,045.00
15	120,000.00	1,800,000.00	-15%	4,020,852.00
16	120,000.00	1,920,000.00	15%	3,537,724.00
17	120,000.00	2,040,000.00	20%	4,188,383.00
18	120,000.00	2,160,000.00	25%	5,146,059.00
19	120,000.00	2,280,000.00	20%	6,552,574.00
20	120,000.00	2,400,000.00	-20%	7,983,089.00
21	120,000.00	2,520,000.00	15%	6,505,471.00
22	120,000.00	2,640,000.00	15%	7,602,442.00
23	120,000.00	2,760,000.00	25%	8,862,808.00
24	120,000.00	2,880,000.00	10%	11,198,510.00
25	120,000.00	3,000,000.00	-25%	12,438,362.00
26	120,000.00	3,120,000.00	10%	9,448,771.00
27	120,000.00	3,240,000.00	25%	10,513,648.00
28	120,000.00	3,360,000.00	20%	13,262,060.00
29	120,000.00	3,480,000.00	15%	16,034,472.00
30	120,000.00	3,600,000.00	-20%	18,559,643.00
YIELD/IRR			8.06%	
CLAIMED ROI			15.00%	

Understanding the MF Trend: ROI vs Market Fluctuations

This illustration assumes a long-term SIP style investment with the following parameters

- **Annual Investment: ₹1,20,000**
- **Investment Term: 30 years**
- **Claimed / Projected Average ROI: 15%**
- **Periodic Market Crashes: Approx. once every 5 years**

👉 **At first glance, a 15% projected return appears attractive. However, when we analyze the actual year-wise impact of market fluctuations, a different picture emerges.**

KEY OBSERVATION FROM THE TABLE

1. Market Returns Are Uneven, Not Linear

- Positive years show returns of 15%–25%
- Crash years show sharp corrections of –15% to –30%
- These negative years undo several years of gains

👉 **Markets do not compound smoothly, even if long-term averages look strong.**

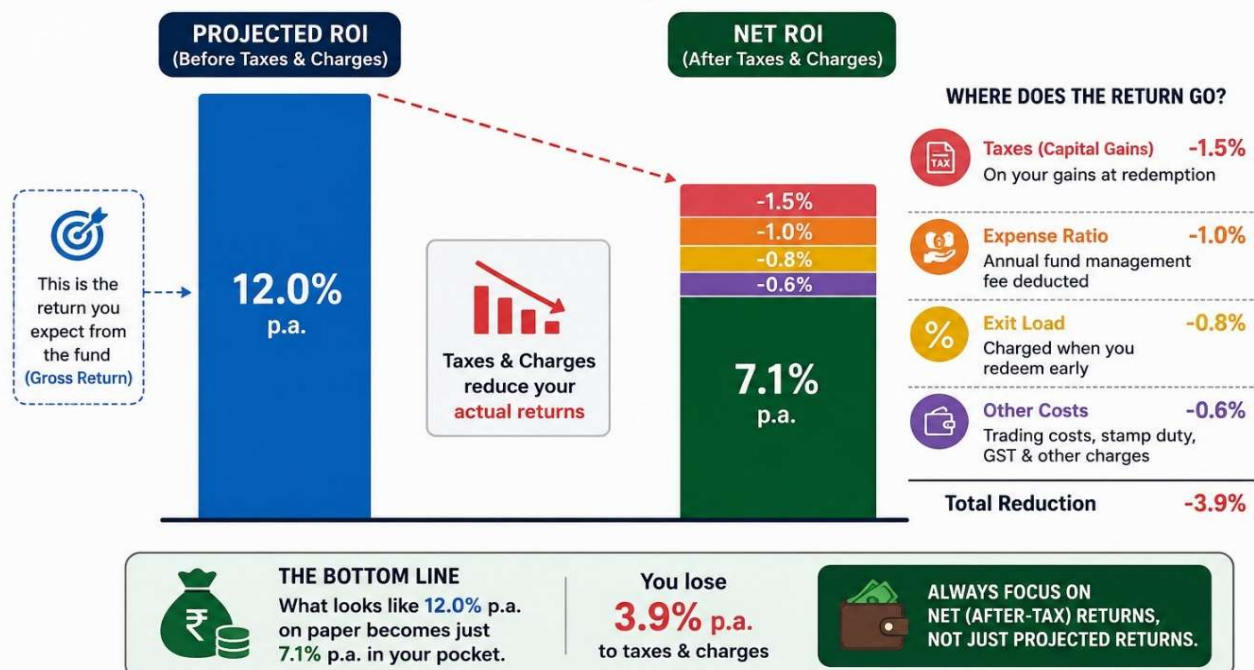
2. Impact of Market Crashes on Long-Term Returns

Highlighted yellow rows show years with market rashes (–20%, –25%, –30%). Despite continued investing:

- Corpus growth slows down sharply
- In some years, portfolio value drops even after years of discipline
- Recovery takes multiple years, especially when crashes occur at higher corpus levels

WHY NET ROI IS MUCH LOWER THAN PROJECTED ROI IN MUTUAL FUNDS

Impact of Taxes & Charges eats into your returns



Note: Illustrative example for equity mutual funds. Actual impact may vary based on fund, holding period & tax slab.

STATUTORY & OTHER COSTS

- Dividend Payouts:** taxed in investor's hands at Slab Rate;
- TDS for Mutual Funds at 10% if > ₹10,000.
- Securities Transaction Tax (STT): not applicable on mutual funds (only equities/shares).
- GST (18%) on fund management fees applies but is paid by the fund (indirect).
- Tax on Dividends (if chosen): Dividend payouts (if you opt for Dividend plan) are added to income and taxed at slab rate on redemption.
- Transaction & Regulatory Costs : Mutual funds do not attract STT/Stamp Duty like stocks at redemption, but EXPENSE RATIO & EXIT LOAD (if applicable) reduce your return automatically.

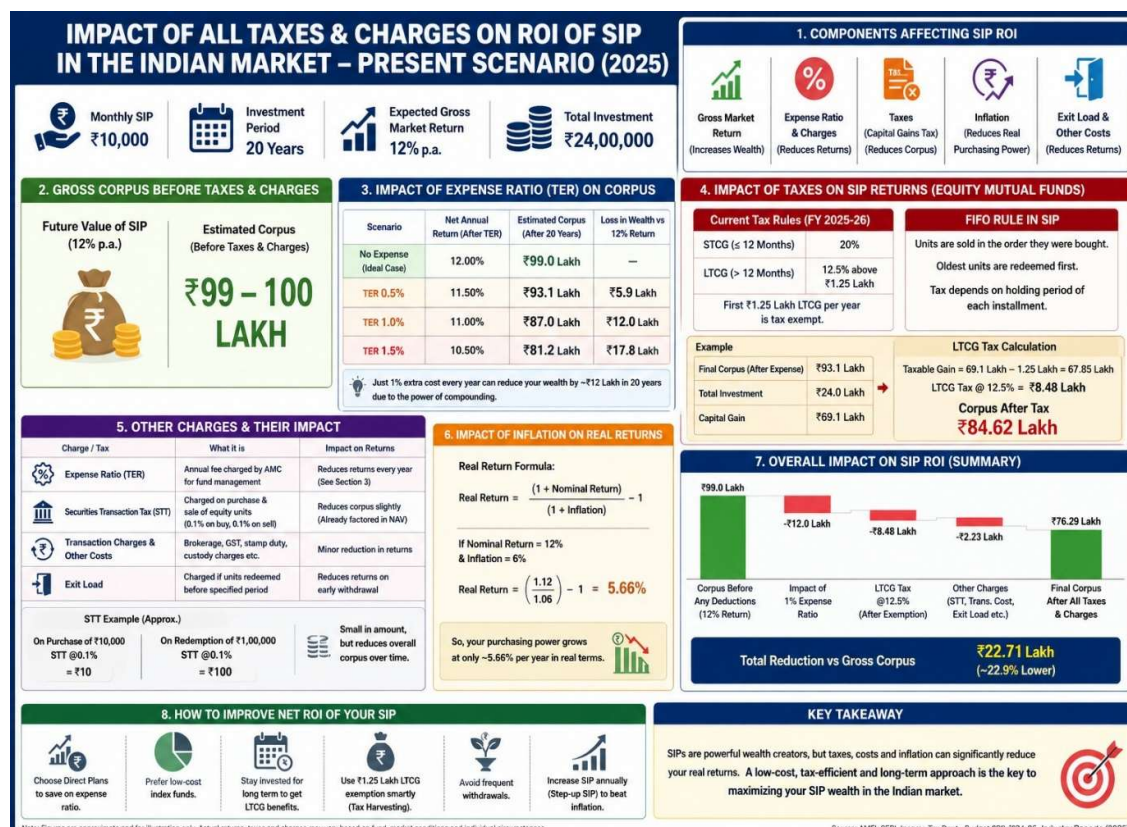
CHARGES IN MF INVESTMENTS

1. Entry Load: Nil (abolished since 2009)
2. Exit Load: 0.5% to 2% (depending on fund and holding period)
3. Management Fees: 0.5% to 2.5% p.a. (depending on fund type)
4. Administrative Charges: 0.1% to 0.5% p.a.
5. Custodian Charges: 0.01% to 0.05% p.a.
6. Auditors Fee
7. Registrar & Transfer Agent (RTA) Charges
8. Stamp Duty: On Physical Applications

Other Expenses

9. Brokerage Charges (for buying/selling securities)
10. Interest Expenses (for borrowing)
11. Operating Expenses (marketing, distribution, etc.)
12. Compliance Costs

INVESTMENT IN SYSTEMATIC INVESTMENT PLAN (SIP)



A method of investing in mutual funds monthly / quarterly. SIP is not a product, it is a discipline
HOW IT WORKS

- Fixed amount auto-debited
- Buys more units when market is low, fewer when high
- Uses Rupee Cost Averaging

Benefits

- Market timing not required
- Builds long-term discipline
- Power of compounding

Risk Level

- Depends on the mutual fund chosen

Annual Taxation vs Tax on Redemption (Reality)

SIP gains are NOT taxed annually. Tax is triggered ONLY when units are redeemed (sold). Each SIP instalment is treated as a separate investment with its own holding period and tax calculation.

1. NO annual tax on

- NAV appreciation
- Unrealised Gains
- Number of years SIP is running

☞ As long as you don't redeem units, there is zero capital gains tax, regardless of profit shown in statements.

2. What Actually Gets Taxed?

Tax is applied only on redemption, and each SIP instalment is taxed separately, based on:

1. Asset class (Equity / Debt / Gold, etc.)
2. Holding period of that instalment
3. Capital Gain Amount

EQUITY SIP/TAXATION LOGIC (FY 2025-26 Rules)* Holding Period Rules

Holding Period	Tax Type	Tax Rate
≤ 12 months	STCG	20%
> 12 months	LTCG	12.5% (only if total LTCG > ₹1.25 lakh in FY)
HOW TAX IS CALCULATED: Each SIP instalment has a different purchase date		
SIP MONTH	Holding Period	Tax Type
Month 1–6	> 12 month	LTCG
Month 7–12	< 12 months	STCG

COMPONENTS AFFECTING SIP ROI

COMPONENT	EFFECT ON ROI
Expense Ratio (TER/BER)	Reduces annual returns
STT & Transaction Charges	Small reduction in redemption value
Capital Gains Tax	Reduces final post-tax corpus
Inflation	Reduces real purchasing power
Exit Load	Reduces returns on early withdrawal

The Hidden Impact of Taxes, Charges & Inflation on SIP Returns (2025 Perspective)

Many investors focus only on the illustrated return of a SIP, but the actual wealth created over the long term is influenced by several factors such as fund expenses, taxes, inflation, and transaction-related costs. Understanding these factors is essential for making informed investment decisions.

Example Illustration

- ☒ Monthly SIP: ₹10,000
- ☒ Investment Period: 20 Years
- ☒ Total Investment: ₹24,00,000
- ☒ Assumed Gross Return: 12% p.a.

Under ideal conditions, the expected corpus could grow to approximately ₹99–100 lakh.

1 Impact of Expense Ratio (TER)

The Total Expense Ratio (TER) is the annual fee charged by the fund house for managing the investment.

TER	Net Return	Estimated Corpus
0%	12.0%	₹99.0 Lakh
0.5%	11.5%	₹93.1 Lakh
1.0%	11.0%	₹87.0 Lakh
1.5%	10.5%	₹81.2 Lakhs

Key Insight: Even a seemingly small 1% annual expense can reduce long-term wealth by approximately ₹12 lakh over 20 years due to the power of compounding.

2 Impact of Capital Gains Tax

Current taxation on Equity Mutual Funds:

- **Short-Term Capital Gains (STCG) (holding period ≤ 12 months): 20% Tax**
- **Long-Term Capital Gains (LTCG) (holding period > 12 months): 12.5% Tax**
- **First ₹1.25 lakh LTCG per financial year remains tax-exempt.**

In the illustration:

* Corpus after expenses: ₹93.1 lakh

* Total investment: ₹24 lakh

* Capital gain: ₹69.1 lakh

* **Taxable gain after exemption: ₹67.85 lakh**

* LTCG Tax @12.5%: ₹8.48 lakh

Corpus after LTCG tax: approximately ₹84.62 lakh

3 Impact of Inflation

Inflation silently reduces purchasing power. **Using a nominal return of 12% and inflation of 6%: Real Return $\approx$ 5.66% per annum**

This means that although the investment statement may show 12% growth, the actual increase in purchasing power is significantly lower.

4 Other Costs Investors Often Ignore

- ✓ Securities Transaction Tax (STT)
- ✓ Brokerage and transaction charges
- ✓ GST and stamp duty components
- ✓ Exit loads on early redemption

Individually these may appear small, but over long investment periods they further reduce overall returns.

5 Overall Effect on Wealth Creation

Illustrative Impact:

 **Gross Corpus (Before Deductions): ~₹99 lakh**

 **Expense Ratio Impact: ~₹12 lakh reduction**

 **LTCG Tax Impact: ~₹8.48 lakh reduction**

 **Other Costs: ~₹2.23 lakh reduction**

Final Corpus After Taxes & Charges: ~₹76.3 lakh

Total Reduction from Gross Corpus: ~₹22.7 lakh (approximately 23%)

If SIP is in IDCWs / Dividend option

- Dividend is taxed every year
- Taxed at your slab rate
- TDS @ 10% if dividend > ₹10,000

Key Takeaway

Investors should evaluate returns after considering expenses, taxes, and inflation, rather than focusing solely on headline returns.

BOTTOMLINE

Present Indian Market Scenario (2025–26). The current SIP environment in India is characterized by:

- Higher CAPITAL GAINS TAXATION
- Removal of INDEXATION BENEFITS in many debt funds
- Market Volatility
- Inflation-adjusted returns becoming moderate

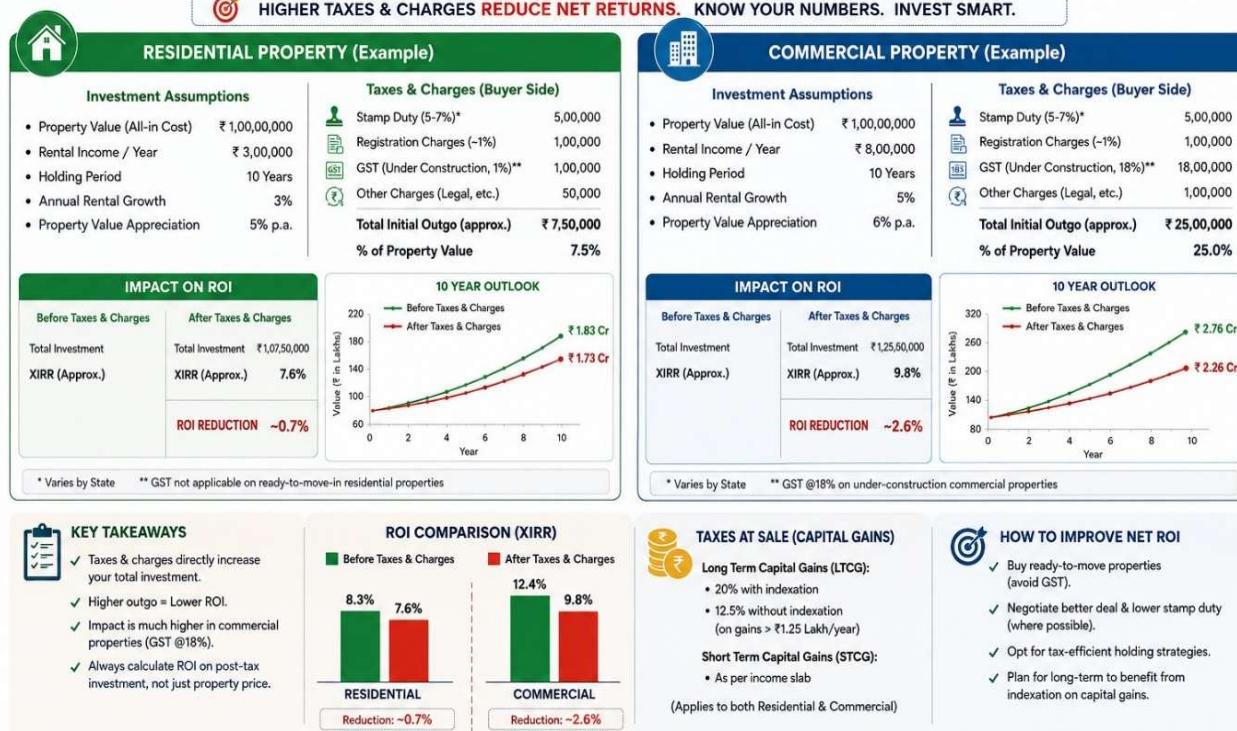
In the present Indian market scenario, SIPs continue to remain an effective long-term investment tool. However, the actual ROI received by investors is substantially reduced by taxes, expense ratios, and inflation. Even a small annual charge difference of 1% can reduce wealth by several lakhs over long periods due to compounding. Similarly, LONG-TERM CAPITAL GAINS TAX (LTCG) and INFLATION significantly REDUCE POST-TAX REAL RETURNS

INVESTMENT IN REAL ESTATE

HOW TAXES & CHARGES IMPACT ROI IN REAL ESTATE IN INDIA

PRESENT SCENARIO (FY 2024-25)

HIGHER TAXES & CHARGES REDUCE NET RETURNS. KNOW YOUR NUMBERS. INVEST SMART.



BOTTOM LINE: TAXES & CHARGES ARE UNAVOIDABLE, BUT POOR PLANNING IS COSTLY. DO THE MATH. COMPARE REAL RETURNS. INVEST WISELY.

Investment in land, residential or commercial property is known as INVESTMENT IN REAL ESTATE or PROPERTY

How it works

- Buy property
- Hold long-term
- Earn rent and/or capital appreciation

How you earn

- Rental Income
- Property price appreciation

Real estate returns often look attractive on paper because people focus on price appreciation and rental income, but the actual net return is reduced by many visible and hidden costs.

Types of Returns in Real Estate

- Capital Appreciation - Property value increases over time
- Rental Yield - Monthly rent income.
- Leverage Gain - Using home loans can amplify returns
- Tax Benefits - Under home loan interest/principal sections

RISK LEVEL

MODERATE TO HIGH: (Price cycles, legal risks, liquidity issues)

- Liquidity: Low – takes time to sell
- Capital Requirement: High (down payment + loan)

COST OF INVESTMENT

A. One-Time Purchase Cost

COST TYPE	APPROX COST
Stamp Duty	5-10%
Registration Charges	1-2%
Brokerage	1-2%
Goods and Services Tax (GST) GST (under-construction property)	5%-12%
Capital Gains Tax (CGT)	20-30%
Legal Verification	₹10k-₹50k
Loan Processing Fees	0.25-1%
Interior/Furnishing	5-20% of property value
If you buy a ₹50 lakh apartment: 1. Stamp + registration → ~₹3.5 lakh 2. Brokerage → ₹50,000/- 3. Interiors → ₹5 lakh Your effective investment becomes: ₹59 lakh instead of ₹50 lakh That means appreciation must first recover these costs before real profit begins.	

B. Recurring Costs (Big ROI Killers)

I. Maintenance Charges

COST TYPE	APPROX COST
APARTMENT->₹2–10/sq ft monthly Luxury Projects Much higher	
1200 sq ft apartment × ₹5/sq ft = ₹6,000/month= ₹72,000/year	
B. PROPERTY TAX	Usually 0.5–2% annually depending on city & municipality
C. INSURANCE	Usually Home insurance + structure insurance.
D. VACANCY LOSS	Usually Rental properties are rarely occupied 100% of the time Typical vacancy assumption: • 1–3 months rent loss every few year
E. REPAIR & RENOVATION COSTS : Properties physically depreciate	
• Paint every 5–7 years • Waterproofing • Plumbing/electrical repairs • Lift/Other Maintenance • Appliance replacement	
Typical annual reserve: 1–2% of property value	
F. SOCIETY SPECIAL ASSESSMENTS Unexpected	
• Lift Replacement • Structural Repair • Water pipeline replacement • Other Legal costs/Charges	
G. FINANCING COSTS	
If purchased via Home loan, Which is the biggest hidden expense	
1. Example: ₹50 lakh loan @ 8.5% for 20 years 2. Total repayment: ~₹1 crore+ 3. Meaning: You may pay almost another property's value in interest.	

Taxes That Reduce Net ROI

COST TYPE	APPROX COST
Stamp Duty	5-10%
Registration Charges	1-2%
Value-Added Tax (VAT)	1% to 5%
Brokerage	1-2%
Goods and Services Tax (GST) GST (under-construction property)	5%-12%
Capital Gains Tax (CGT)	20-30%
Legal Verification	₹10k-₹50k
Loan Processing Fees	0.25-1%
Rental Income Tax	Rental income taxed under income tax slab after deduction
TDS on High-Value Transactions	Applicable above certain thresholds.
Transfer Fees	₹5,000 to ₹50,000 (varies by developer)
Society Transfer Fees	₹5,000 to ₹50,000 (varies by developer)
OWNERSHIP Related Cost	1. Property Tax: 0.5% to 2% (varies by municipality) 2. Municipal Taxes: 0.5% to 2% (varies by municipality) 3. Water and Electricity Charges 4. Maintenance Charges: ₹1 to ₹10 per sq. ft. (varies by developer/society) 5. Annual Lease Rent (For Leasehold properties)

COST TYPE	APPROX COST
SALES Related Cost	1. Capital Gains Tax (CGT): 20% to 30% (varies by holding period) 2. Indexation Benefit (for long-term capital gains) 3. TDS (Tax Deducted at Source): 1% to 20% (varies by transaction type) 4. Stamp Duty (on sale deed) 5. Registration Charges (on sale deed)
FINANCIAL Related Cost	1. Interest on Home Loan: 7% to 12% p.a. (varies by lender) 2. Processing Fees: 0.5% to 2% (varies by lender) 3. Loan Insurance Premiums
Other Taxes and Charges 1. GST on construction: 5% to 12% (varies by property type) 2. Development Charges: ₹50 to ₹500 per sq. ft. (varies by developer) 3. Parking Charges: ₹50,000 to ₹5 lakhs (varies by developer) 4. Clubhouse and Amenities Charges	
RESIDENTIAL REAL ESTATE 1. Rental Yield 2-4% 2. Long Term Appreciation 5-9% 3. Net ROI after costs 4-8% In many cities: Real appreciation after inflation is modest	
COMMERCIAL REAL ESTATE 1. Rental Yield 6-10% 2. Appreciation 4-8% 3. Net ROI 8-12%	

Real Net ROI Calculation : RESIDENTIAL MARKET

- Property purchase price: ₹50 lakh
- Additional setup costs: ₹8 lakh
- Total invested: ₹58 lakh

AFTER 10 YEARS

- Property value: ₹80 lakh
- Capital gain: ₹22 lakh
- **Annualized appreciation: ~3.3–4.5% CAGR after costs**

Rental Income

- Average rent: ₹18k/month
- 10-year GROSS RENT: ~₹21 lakh **LESS**
- Maintenance
- Taxes
- Vacancy
- Repairs
- Maintenance

NET RENTAL: ~₹12–14 lakh

TOTAL NET GAINS

1. Capital gain: ₹22 lakh
2. Net rent: ₹13 lakh

3. Total: ₹35 lakh

On ₹58 lakh investment over 10 years: APPROX NET CAGR: ~5–7%

That's realistic for many residential markets.

INVESTMENT IN GOLD

INVESTING IN GOLD IN INDIA COSTS, TAXES, CHARGES & NET ROI (AFTER ALL COSTS)

INVEST WISELY. PLAN SMARTLY. PROTECT WEALTH.



WAYS TO INVEST IN GOLD		COSTS, TAXES & CHARGES COMPARISON					
 PHYSICAL GOLD Jewellery, Coins, Bars		 Entry/ Purchase Costs	• 3% GST on gold value • 5% GST on making charges • Making Charges 5% – 25%	GOLD ETF No GST Pay Market Price + Brokerage	SOVEREIGN GOLD BONDS (SGB) No GST Issue Price = 999 purity gold price	DIGITAL GOLD 3% GST Spread 2% – 6% (buy price higher than market)	GOLD FUTURES (MCX) Brokerage + Exchange Charges + STT/CTT + GST on Brokerage (18%) + Stamp Duty
 GOLD ETF Exchange Traded Fund		 Annual/ Ongoing Charges	Locker charge (if any) Insurance (if any)	Expense Ratio 0.30% – 1.00% per annum	No annual charge	Storage Fees (after free limit) (if applicable)	Nil (but MTM losses possible daily)
 SOVEREIGN GOLD BONDS (SGB) Issued by RBI on behalf of Govt. of India		 Interest Income	No	No	2.50% per annum (paid semi-annually)	No	No
 DIGITAL GOLD Buy online (Backed by Physical Gold)		 Liquidity	High (local jeweller) but value deduction on sale	High (Sell anytime during market hours)	Moderate (On Exchange / Early redemption after 5 years)	High (on platform subject to spread)	Very High (Traded on Exchange)
 GOLD FUTURES (MCX) For Traders (Not for Long Term Investors)		 Purity / Storage Risk	Purity risk, theft risk, needs safe storage	No	No	No	No
		 Best For	Personal use, Emergency, Tradition	Flexible Investment, Short to Medium Term	Long Term Wealth Creation, Tax Efficiency	Small Ticket Investment, Convenience	Traders only (High Risk)

TAXATION ON GOLD INVESTMENTS IN INDIA (As per current rules*)			
TYPE OF INVESTMENT	SHORT TERM (≤ 3 YEARS)	LONG TERM (> 3 YEARS)	ADDITIONAL NOTES
 PHYSICAL GOLD (JEWELLERY/COINS/BARS)	Taxed as per your Income Tax Slab (Added to your income)	20% with Indexation Benefit	If sold to Jeweller, TDS 1% if sale > ₹10 lakh (pan required)
 GOLD ETF	Taxed as per your Income Tax Slab	20% with Indexation Benefit	Securities Transaction Tax (STT) not applicable on ETFs
 SOVEREIGN GOLD BONDS (SGB)	Taxed as per your Income Tax Slab	Exempt from Capital Gains Tax (If held till Maturity)	Interest (2.5%) is taxable as per your Income Tax Slab
 DIGITAL GOLD	Taxed as per your Income Tax Slab	20% with Indexation Benefit	TDS 1% if sale > ₹10 lakh
 GOLD FUTURES (MCX)	Taxed as Business Income (as per your slab)	Not applicable	Marked to Market (MTM) – Losses can be set off only against business income

**DID YOU KNOW?**

- ✓ Making charges on jewellery are NOT recovered on sale.
- ✓ You start at a loss if you buy physical gold.
- ✓ SGBs offer the best tax benefit for long term.
- ✓ Gold is a wealth protector, not a high growth asset.

NET ROI AFTER DEDUCTING ALL COSTS (PRESENT SCENARIO EXAMPLE)				
Assumptions: Gold Price today = ₹6,000 per gram Investment Horizon = 5 Years Gold Price Appreciation (CAGR) assumed = 7% SGB Interest = 2.5% pa. Tax Rate for Slab Assumed = 20%				
TYPE OF INVESTMENT	TOTAL COSTS OVER 5 YEARS (APPROX.)	TOTAL VALUE AFTER 5 YEARS (APPROX.)	TAX PAYABLE (APPROX.)	NET ROI AFTER ALL COSTS (5 YEARS CAGR%)
 PHYSICAL GOLD (JEWELLERY)	Making Charges 10% (Avg) + GST –3.5% + Locker –1% = –14.5%	₹1,40,255 (7% CAGR on ₹1,00,000)	Long Term (20% with indexation) –₹6,723	~4.3% CAGR
 GOLD ETF	Expense Ratio –0.60% p.a. + Brokerage etc. –0.15% p.a. = –3.75%	₹1,34,891	Long Term (20% with indexation) –₹6,207	~4.9% CAGR
 SOVEREIGN GOLD BONDS (SGB)	No Entry Cost	₹1,54,025 (7% CAGR + 2.5% Interest p.a.)	Nil on Maturity (Interest is taxable yearly –₹2,500 total)	~6.5% CAGR
 DIGITAL GOLD	GST 3% + Spread 3% (Avg) + Storage –1% = –7%	₹1,30,284	Long Term (20% with indexation) –₹5,538	~4.1% CAGR
 GOLD FUTURES (MCX)	Transaction cost, brokerage, GST, STT, CTT –1.5% p.a. + High Risk	Market Linked (Highly Volatile)	As per Business Income (Taxed as per slab)	Depends on Trading Performance (High Risk)

KEY TAKEAWAYS FOR YOUR CLIENTS	PLAN SMART WITH LIFE INSURANCE	DISCLAIMER
✓ Gold protects wealth from inflation & uncertainty. ✓ For best long-term returns with tax efficiency → SGB is ideal. ✓ For flexibility & liquidity → Gold ETF is suitable. ✓ Physical gold is for use & emergency, not for returns. ✓ Keep gold allocation at 5% – 15% of total portfolio.	 PLAN SMART WITH LIFE INSURANCE Gold protects your wealth. Life Insurance protects your loved ones. A balanced portfolio is Protection + Investment + Tax Efficiency	This infographic is for educational purpose only. Returns are illustrative and not guaranteed. Market linked investments are subject to risk. Please consult your financial advisor before making any investment decisions.



PROTECT TODAY. GROW TOMORROW. SECURE ALWAYS.

Your Life Insurance Advisor

- **Physical Gold** : Jewellery, Coins, Bars
- **Gold ETF**: Gold Exchange-Traded Fund. Gold ETFs are Electronic Gold Investments traded on the Stock Exchange
- **Sovereign Gold Bonds (SGB)**: Sovereign Gold Bond Government-backed gold investment.
- **Digital Gold**: PhonePe, Paytm Buy small quantities online

A. PHYSICAL GOLD

TAX	DESCRIPTION
PURCHASE RELATED TAXES	1. GST : 3% on gold jewelry, 0% on gold coins/bars 2. Making Charges: 8-25% (varies by jeweller) 3. VAT (Value-Added Tax): 1-5% (varies by state) 4. Stamp Duty: ₹100-₹500 (varies by state) 5. Security Charges: ₹100-₹500 (varies by jeweller)
OWNERSHIP RELATED TAXES	1. Wealth Tax: 1% on net wealth exceeding ₹30 lakhs (not applicable to gold below ₹30 lakhs) 2. Capital Gains Tax (CGT): 20% to 30% (varies by holding period) 3. Indexation Benefit (for long-term capital gains)
SALES RELATED TAXES	1. Capital Gains Tax (CGT): 20% to 30% (varies by holding period) 2. TDS (Tax Deducted at Source): 1% to 20% (varies by transaction type) 3. GST: 3% on gold jewelry, 0% on gold coins/bar
OTHER TAXES	1. Customs Duty: 10% on imported gold 2. Excise Duty: 1% on gold jewelry 3. Cess: 0.5% on gold imports 4. BROKRAGE CHARGES 5. SECURITY TRANSACTION TAX (STT/CTT) 6. BROKRAGE CHARGES 7. LOCKER CHARGES 8. EXPENSE RATIO CHARGES 9. STORAGE FEE

A. PHYSICAL GOLD

PURCHASE COST	3% GST on GOLD VALUE 5% GST on Making Charges - Making Charges: 5%-25%
ANNUAL/ONGOING CHARGES	- LOCKER CHARGES If any - Insurance
LIQUIDITY	HIGH (Local jeweller), but VALUE DEDUCTION on RESALE
INTEREST INCOME	NO
RISK	PURITY RISK, THEFT RISK, NEEDS SAFE STORAGE
SHORT TERM ≤ 3 YEARS	Taxed as per Slab Added in Income
LONG TERMS >3 YEARS	20% with INDEXATION BENEFITS
Addl NOTES	If sold to Jeweller TDS 1% If sale > ₹10Lakh PAN Reqd
ASSUMPTIONS: GOLD PRICE = ₹6,000/- PER GRAM Investment Horizon = 5 Years Gold Price Appreciation (CAGR) Assumed = 7% SGB INTEREST RATE = 2.5% p.a. Tax Rate Slab Assumed = 20%	
TOTAL COSTS Over 5 YEARS (Approx)	Making Charges 10% (Avg) + GST-3.5% + Locker - 1% = -14.5%
TOTAL VALUE After 5 YEARS (Approx)	*₹1,40,255 (7% CAGR on ₹1,00,000)
TAX PAYABLE	Long Term (20% with indexation) ~*₹6,723
NET ROI AFTER ALL COSTS (5 YEARS CAGR)	~4.3% CAGR

B. GOLD ETF

PURCHASE COST	• NO GST • Pay MARKET PRICE • BROKRAGE
ANNUAL/ONGOING CHARGES	• EXPENSE RATIO : 0.30%-1.00% p.a.
LIQUIDITY	HIGH (Sell anytime, during Market Hours)
INTEREST INCOME	NO
RISK	NO
SHORT TERM ≤ 3 YEARS	Taxed as per Income Tax Slab
LONG TERMS > 3 YEARS	20% with INDEXATION BENEFITS
ASSUMPTIONS: GOLD PRICE = ₹6,000/- PER GRAM Investment Horizon = 5 Years Gold Price Appreciation (CAGR) Assumed = 7% SGB INTEREST RATE = 2.5% p.a. Tax Rate Slab Assumed = 20%	
TOTAL COSTS Over 5 YEARS (Approx)	Expense Ratio -0.60% p.a. + Brokerage etc. -0.15% p.a. = -3.75%
TOTAL VALUE After 5 YEARS (Approx)	*₹1,34,89
TAX PAYABLE	Long Term (20% with indexation) ~*₹6,207
NET ROI AFTER ALL COSTS (5 YEARS CAGR)	~4.9% CAGR

C. SOVEREIGN GOLD BONDS (SGB)

PURCHASE COST	No GST Issue Price=₹999/- Purity Gold Price
ANNUAL/ ONGOING CHARGES	No ANNUAL CHARGE.
LIQUIDITY	MODERATE (On Exchange/Early Redemption after 5 Years)
INTEREST INCOME	2.50% p.a.(Payable Semi-Annually)
RISK	NO
SHORT TERM ≤ 3 YEARS	Taxed as per Income Tax Slab
LONG TERMS >3 YEARS	Exempt from CAPITAL GAINS TAX (If hold till Maturity)
Addl NOTES	INTEREST 2.5% is TAXABLE as per IT Slab
ASSUMPTIONS:GOLD PRICE=₹6,000/-PER GRAM Investment Horizon=5 Years Gold Price Appreciation (CAGR)Assumed=7% SGB INTEREST RATE=2.5%p.a. Tax Rate Slab Assumed=20%	
TOTAL COSTS Over 5 YEARS (Approx)	NO ENTRY COST
TOTAL VALUE After 5 YEARS (Approx)	*₹1,54,025 (7% CAGR +2.5% Interest p.a.)
TAX PAYABLE	Nil on Maturity (Interest is taxable yearly -₹2,500 total)
NET ROI AFTER ALL COSTS (5 YEARS CAGR)	~6.5% CAGR

D.DIGITAL GOLD

PURCHASE COST	3% GST - Spread 2-6% (buy Higher Price than Market)
ANNUAL/ ONGOING CHARGES	STORAGE FEE (After free limit)
LIQUIDITY	HIGH (on platform subject to spread)
INTEREST INCOME	NO
RISK	NO
SHORT TERM ≤ 3 YEARS	Taxed as per Income Tax Slab
LONG TERMS >3 YEARS	20% with INDEXATION BENEFITS
Addl NOTES	TDS 1% If sale>₹10Lakh
ASSUMPTIONS:GOLD PRICE=₹6,000/-PER GRAM Investment Horizon=5 Years Gold Price Appreciation (CAGR)Assumed=7% SGB INTEREST RATE=2.5%p.a. Tax Rate Slab Assumed=20%	
TOTAL COSTS Over 5 YEARS (Approx)	GST 3% + Spread 3% (Avg) + Storage -1% =-7%
TOTAL VALUE After 5 YEARS (Approx)	*₹1,30,284
TAX PAYABLE	Long Term (20% with indexation) ~*₹5,538
NET ROI AFTER ALL COSTS (5 YEARS CAGR)	~4.1% CAGR

E GOLD FUTURS (MCX)

PURCHASE COST	- BROKRAGE - EXCHANGE CHARGES - STT/CTT 18% GST on BROKRAGE - Stamp duty
ANNUAL/ ONGOING CHARGES	NIL (But MTM Losses possible Daily)
LIQUIDITY	VERY HIGH (Traded on Exchange)
INTEREST INCOME	NO
RISK	NO
SHORT TERM ≤ 3 YEARS	Taxed as per Business Income
LONG TERMS >3 YEARS	NOT APPLICABLE
Addl NOTES	Market To Market (MTM) Losses can be set off only against Business Income
ASSUMPTIONS:GOLD PRICE=₹6,000/-PER GRAM Investment Horizon=5 Years Gold Price Appreciation (CAGR)Assumed=7% SGB INTEREST RATE=2.5%p.a. Tax Rate Slab Assumed=20%	
TOTAL COSTS Over 5 YEARS (Approx)	Transaction cost, brokerage, GST, STT, CTT-1.5% p.a. + High Risk
TOTAL VALUE After 5 YEARS (Approx)	Market Linked (Highly Volatile)
TAX PAYABLE	As per Business Income (Taxed as per slab)
NET ROI AFTER ALL COSTS (5 YEARS CAGR)	Depends on Trading Performance (High Risk)

DARK SIDES of investing in GOLD

1. Volatility: Prices fluctuate rapidly.
2. Storage and Security Risks: Theft, damage
3. Making Charges: High costs for jewellery, coins.
Making Charges on Jewellery are NOT RECOVERED under RESALE
4. Starting at a LOSS if buy PHYSICAL GOLD
5. Lack of Regular Income: No dividends or interest.
6. Market Manipulation: Prices influenced by global factors.
7. Taxation: Capital gains tax, wealth tax, VAT, STT, CTT
8. Limited Liquidity: Difficult to sell in emergencies

Challenges in present scenario

9. Global economic uncertainty like Middle East War between US & Iran
10. Strong US dollar impacting gold prices
11. Government policies (duty hikes, hallmarking).
12. Rising interest rates

CAPITAL GAINS TAX (CGT) – HOW IT ERODES ROI

Outlook
MONEY

Capital Gains Tax: HOW EACH INVESTMENT IS TAXED

ASSET CLASS	SHORT-TERM PERIOD	STCG RATE	LONG-TERM PERIOD	LTCG RATE
Listed Equity & Equity Mutual Funds	Up to 12 months	20%	More than 12 months	12.5% (above ₹1.25 lakh gains)
Property	Up to 24 months	Income tax slab rate	More than 24 months	12.5% without indexation
Debt Mutual Funds (Post-April 2023)	Any period	Income tax slab rate	Any period	Income tax slab rate
Physical Gold	Up to 24 months	Income tax slab rate	More than 24 months	12.5% without indexation
Unlisted Shares	Up to 24 months	Income tax slab rate	More than 24 months	12.5% without indexation
F&O and Intraday Trading	Classified as business income, not capital gains	Income tax slab rate	Not applicable	Not applicable

Source: Outlook Money

This section provides a concise comparison of how **Capital Gains Tax (CGT)** applies to different investment classes in India. It is based on the capital gains taxation framework introduced after the 2024 Union Budget (subject to future amendments).

The primary message is that **the tax you pay at the time of redemption or sale directly reduces your effective Return on Investment (ROI).**

Understanding Capital Gains Tax (CGT)

Capital Gains Tax (CGT)** framework in India after the changes introduced by the ****Finance (No. 2) Act, 2024****, which continue to form the basis of the current regime. The Government simplified the holding periods and rationalised tax rates across many asset classes.

Capital Gains Tax is the tax payable on the profit earned when you Sell an investment for more than its purchase price. Capital Gain = Selling Price – Purchase Price – Eligible Transfer Expenses

CGT is payable only when the asset is sold or transferred, not while it continues to appreciate in value.

Capital Gains Tax is the tax payable on the profit earned when you sell an investment for more than its purchase price.

Types of Capital Gains

There are two categories:

- **STCG (Short-Term Capital Gain)** - Asset sold before the prescribed holding period
- **LTCG (Long-Term Capital Gain)** - Asset sold after the prescribed holding period

Example: Purchase Price = ₹10,00,000

- Sale Price = ₹14,00,000
- Capital Gain = ₹4,00,000

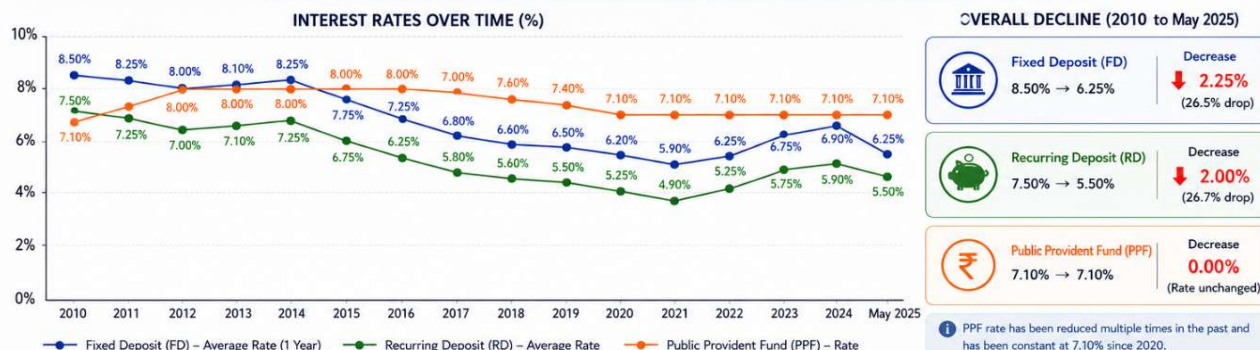
CGT is calculated only on the ₹4,00,000 gain, not on the entire ₹14,00,000.

Investment Class	Short-Term Period	STCG Rate	Long Term Period	LTCG Rate
Listed Equity Shares & Equity Mutual Funds	Up to 12 months	20%	More than 12 Months	12.5% (Above ₹1.25 Lakhs)
Property	Up to 24 months	Tax Slab	More than 24 Months	12.5% without Indexation
Debt Mutual Funds	Any Period	Tax Slab	Any Period	Tax Slab
Physical Gold	Up to 24 months	Tax Slab	More than 24 Months	12.5% without Indexation
Unlisted Shares	Up to 24 months	Tax Slab	More than 24 Months	12.5% without Indexation

SMALL SAVINGS -FD/PPF

DECREASING TREND OF INTEREST RATES IN INDIA (LAST 15 YEARS)

FD, RD & PPF rates have steadily declined, leading to lower returns on traditional savings.



WHY HAVE INTEREST RATES DECLINED?

- Declining Inflation**
 - Inflation has moderated from double digits earlier to ~3-6% range.
 - Lower inflation allows RBI to maintain lower interest rates.
- RBI Monetary Policy**
 - RBI has reduced the repo rate from 8.00% in 2010 to 6.00% in June 2025.
 - Lower repo rate leads to lower lending and deposit rates.
- Strong Economic Growth & Stability**
 - India's economy has grown steadily, improving confidence.
 - Stable growth reduces the need for high interest rates to attract savings.
- Global Factors**
 - Global interest rates have been low for many years (especially post-2008).
 - Foreign capital inflows and lower bond yields influence domestic rates.
- High Savings & Competition**
 - India has high domestic savings.
 - Banks have excess liquidity, so they don't need to offer high deposit rates.
- Government Borrowing at Lower Cost**
 - Government bond yields have fallen.
 - Small savings rates (like PPF) are linked to government borrowing costs.

WHAT DOES THIS MEAN FOR YOU?

- Lower Returns on Savings**
Your FD, RD and PPF now give lower returns than before.
- Reduced Real Value Over Time**
If returns are lower than inflation, the purchasing power of your money reduces.
- Need for Smarter Financial Planning**
Consider diversifying into investments that can generate higher, inflation-beating returns over the long term.



THE TREND IS CLEAR: INTEREST RATES ON SMALL SAVING INSTRUMENTS HAVE BEEN ON A STEADY DECLINE.

To protect your financial future and build real wealth, it's important to diversify beyond traditional savings and invest wisely.

Data Source: RBI, Government of India Notifications, Bank Websites (2010 – May 2025)

Note: Rates are average rates for 1-year tenure (FD & RD). PPF rates are set by Government of India on a quarterly basis.

DECLINING TREND IN FDR

What it is: Lending money to a bank for fixed tenure at fixed interest rate

HOW IT WORKS:

- Invest lump sum
- Earn Guaranteed Interest
- Principal + Interest Returned at Maturity

RISK LEVEL: VERY LOW

(DICGC insurance up to ₹5 lakh per bank)

- LIQUIDITY** : Moderate (penalty on premature withdrawal)
- RETURNS**: Lower than Inflation (post tax)

This is an important and emotionally charged issue for millions of Indian savers—especially retirees, middle-class families, and conservative investors who depend on bank Fixed Deposits (FDs) as their safest income source

1. How interest rate cuts directly hurt the common man's hardearned savings
2. Why RBI–Government rate policy weakens the “safest avenues” like FDs
3. Why many people strongly believe this is a bad policy move for small savers

YEAR	TYPICAL BANK FD RATE*APPROX REGULAR FD	AVG INFLATION	FD RATE Vs INFLATION
2014	~ 8.0%–9.25%	~ 6.6%	~ +1.4% to +2.6%
2015	~ 8.0%–8.75	~ 4.9%	~ +3.1% to +3.8%
2016	~ 7.0%–7.5%	~ 4.95%	~ +2.0% to +2.5%
2017	~ 6.5%–7.0%	~ 3.3%	~ +3.2% to +3.7%
2018	~ 6.25%–6.75%	~ 3.9%	~ +2.3% to +2.8%
2019	~ 6.25%–7.5%	~ 3.7%	~ +2.5% to +3.8%
2020	~ 5.7%–6.2%	~ 6.6%	~ -0.4% to -0.9%
2021	~ 4.9%–5.5%	~ 5.1%	~ -0.2% to +0.4%
2022	~ 5.0%–5.6%	~ 6.7%	~ -1.1% to -1.7%
2023	~ 6.0%–7.25%	~ 5.7%	~ +0.3% to +1.5%
2024	5.0%–6.0% (apx. Interpolation)	~ 4.9%	~ -0.1% to +1.1%
2025	(ongoing, after several rate-cuts) rough estimate ~ 4.5%–5.5%	(2025 provisional ~ 4.3– 4.5% part of year)	~ 0% to +1.0%

WHY INTEREST RATES DECLINED

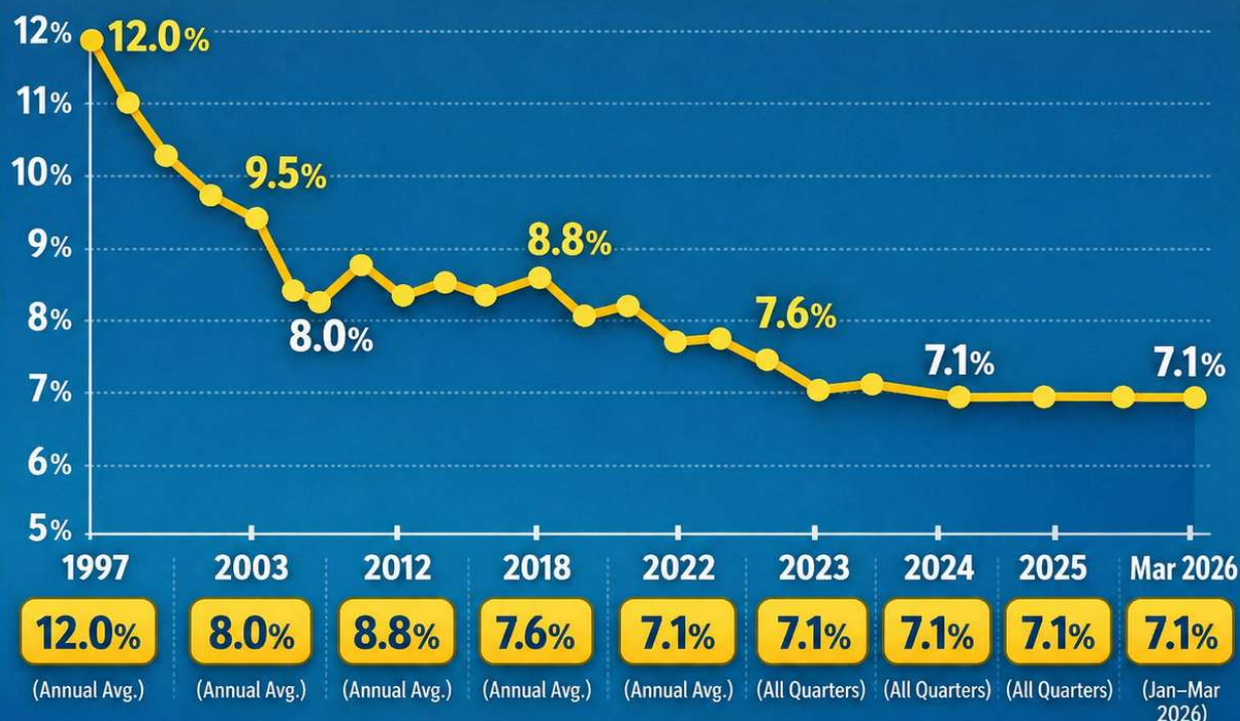
- Inflation has moderated from double digits earlier to 3-6% range
- Lower inflation allows RBI to maintain lower interest rates.**2. RBI Monetary Policy**
- RBI has reduced the repo rate from 8.00% in 2010 to 6.00% in June 2025.
- Lower repo rate leads to lower lending and deposit rates.**3. Strong Economic Growth**
- India's economy has grown steadily, improving confidence.
- Stable growth reduces the need for high interest rates to attract savings.
- 4. Global Factors**
- Global interest rates have been low for many years (especially post-2008)
- Foreign capital inflows and lower bond yields influence domestic rates.
- 5. High Savings & Competition**
- India has high domestic savings.
- Banks have excess liquidity, so they don't need to offer high deposit rates.
- Government Borrowing at Lower Cost**
- Government bond yields have fallen.
- Small savings rates (like PPF) are linked to government borrowing

PPF INTEREST RATE

OVER THE LAST 25+ YEARS



PPF Interest Rate (%)



PPF INTEREST RATE TREND (1997–MAR 2026)

* Rates are annual and subject to change. Source: Government of India (PPF interest rate notifications)

HOW RATE OF INTERESTS ARE DECLINING IN ONE OF THE SAFEST SAVINGS INSTRUMENTS IN INDIA

This trend shows the long-term trend of **Public Provident Fund (PPF) interest rates in India** from **1997 to March 2026**, highlighting how returns have steadily declined and then stabilized over time. Here's a clear, detailed breakdown of what the data tells us.

RBI's Frequent Repo Rate Cuts Are Hurting Safe Savings: In 2025, the Reserve Bank of India has cut the policy repo rate cumulatively by over 125 basis points (1.25%) amid slowing inflation and robust growth.

1. High-Interest Era (Late 1990s)

- Around **1997**, PPF offered a very high interest rate of **12.0%**.
- This reflects a period when government-backed savings schemes generally provided double-digit returns.
- Shortly after, rates began declining: Dropped to ~11% and then near 10%.
- 👉 **Key takeaway:** PPF was extremely lucrative in the 1990s, especially for risk-free long-term savings.

2. Early 2000s Decline

- By **2003**, rates had fallen to about **9.5%**.
- The downward trend continued, reaching around **8.0%** in the mid-2000s.

👉 This decline aligns with broader economic shifts:

- Falling inflation
- Lower interest rate environment globally
- Policy adjustments by the Government of India

3. Fluctuation Phase (2005–2015 approx.)

- Interest rates moved within a narrower band:
 - Roughly **8.0% to 8.8%**
- Around **2012**, the rate rose slightly to about **8.8%**, indicating a temporary upward adjustment.

👉 **Key takeaway:** This was a relatively stable period, with moderate but still attractive returns compared to fixed deposits.

4. Gradual Reduction (2015–2020)

- Rates began trending downward again:
 - Around **7.6% by 2018**
- This reflects:
- Monetary easing
- Alignment of small savings rates with government bond yields

5. Low-Rate Stabilization (2020 onward)

- From **2022 onwards**, the rate settled around: **7.1%**
- This rate has remained unchanged through: **2023 to Jan–Mar 2026**

 **Important:** The flat line indicates **policy stability**—no frequent revisions despite changing economic conditions.

GROSS ROI vs NET ROI

COMPARISON OF INVESTMENT OPTIONS IN PRESENT SCENARIO (INDIA)

 Taxes, charges, fees & inflation can significantly reduce your real returns. What you keep (NET ROI) matters most!

INVESTMENT OPTION	WHAT IT IS	TYPICAL GROSS ROI (ANNUAL)	TAXES, CHARGES & FEES (IMPACT)	TYPICAL NET ROI (ANNUAL)	REDUCTION IMPACT (GROSS vs NET)
 STOCKS (Direct Equity)	Investing in listed company shares	12% – 15%	STT, Brokerage, Exchange Fees, GST ITCG Tax 12.5% on profits above ₹1.25L (STCG Tax 20% on short term gains)	9.0% – 11.5%	↓ 2.5% – 3.5% lower
 MUTUAL FUNDS (Equity)	Investing via mutual funds	11% – 14%	TER (0.8% – 1.5%), STT, Brokerage ITCG Tax 12.5% on profits above ₹1.25L	8.5% – 11.5%	↓ 2.5% – 3.0% lower
 SIP IN EQUITY MF	Systematic investment in equity mutual funds	11% – 13%	TER (0.8% – 1.5%), STT, Brokerage LTCG Tax 12.5% on profits above ₹1.25L	8.5% – 10.5%	↓ 2.5% – 3.0% lower
 REAL ESTATE (Rental Yield + Appreciation)	Residential property (average across cities)	8% – 10%	Property Tax, Maintenance, Brokerage TDS on Rent, LTCG Tax on Sale	5.0% – 7.5%	↓ 2.5% – 3.5% lower
 GOLD (Physical)	Investing in physical gold	6% – 8%	Making Charges (2%–5%), GST 3%, Storage & Insurance, Buy/Sell Spread	4.0% – 6.0%	↓ 1.5% – 2.5% lower
 FIXED DEPOSIT (Bank FD)	Bank fixed deposit (5 – 10 year avg.)	6% – 7%	Interest taxed as per your income tax slab	4.0% – 5.5%	↓ 1.5% – 2.0% lower
 PPF (15 Year)	Public Provident Fund	7.1%* (Current rate)	0% (EEE: Exempt-Exempt-Exempt)	7.1%* (Tax Free)	= No impact
 AXIS MAX LIFE INSURANCE (Insurance/Insurance/Annuity Products)	Savings/Annuity plans offering guaranteed returns	5.5% – 6.5%** (Typical Guaranteed Rate)	Tax on maturity/annuity as per income tax slab (Sec. 10(10D) benefits subject to conditions)	4.0% – 5.0%** (Post Tax)	↓ 1.0% – 1.5% lower



KEY TAKEAWAYS

- Gross ROI is what investments earn before deductions.
- Net ROI is what you actually keep after all deductions.
- Taxes, charges & fees can reduce returns by 20% – 35% in many options.



SMART INVESTING

Look beyond attractive returns. Choose tax-efficient options and products that help you keep more of what you earn.



TAX-EFFICIENT OPTIONS

PPF, ELSS Mutual Funds, NPS, and Tax-efficient Insurance/Annuity plans can help improve your net returns.

*As on May 2024 (subject to change by Govt.)

**Rates vary by plan, age, term, and annuity option. Refer to Axis Max Life official brochure.

Note: Returns are indicative and based on current tax laws (FY 2024–25). Actual returns may vary.

INVESTMENT	SAFETY	LIQUIDITY	RETURN/YIELD
BANK	MORE	MORE	LOW
GOLD/SILVER	MEDIUM	MORE	LOW
EQUITY/MF/STOCK	LOW	MEDIUM	MORE
REAL ESTATE	MEDIUM	LOW	MORE
INSURANCE	MORE	LOW	MEDIUM

RETURN OF INVESTMENT (ROI%)



INVESTMENT INSTRUMENT	EXPECTED ROI (p.a.)	TAXES & CHARGES	NET ROI (p.a.)
MUTUAL FUNDS	8-12%	• DDT: 10-25% • CGT: 10-20% • GST on management fees: 18% • Exit load: 0.5-2% • Management fees: 0.5-2.5%	5.5-8.5%
STOCKS (EQUITY)	8-12%	• STT: 0.001-0.1% • CGT: 10-20% • GST on brokerage: 18% • Brokerage: 0.01-0.5%	6.5-9.5%
REAL ESTATE	5-8%	• Stamp duty: 5-10% • Registration charges: 1-2% • GST: 5-12% • CGT: 20-30%	2.5-5.5%

INVESTMENT INSTRUMENT	EXPECTED ROI (p.a.)	TAXES & CHARGES	NET ROI (p.a.)
GOLD	4-6%	• GST: 3% • CGT: 20-30% • Wealth tax: 1% on net wealth exceeding ₹30 lakhs	2.5-4.5%
BANK (FD/RD)	4-7%	• TDS: 10-20% • Interest Rate: Fluctuating as per RBI	3.2-4.8%
INSURANCE	5-8%	• GST: 0	5 - 8%

- GST-GOODS SERVICE TAX;
- CGT- CAPITAL GAIN TAX;
- STT-SECURITIES TRANSACTION TAX;
- DDT- DIVIDEND DISTRIBUTION TAX

This compares **different investment options** based on **safety, liquidity, returns, taxes, and net effective ROI**, highlighting how taxation and charges significantly impact actual returns.

1 Investment Options: Risk–Liquidity–Return Trade-off:

Investment	Safety	Liquidity	Return Potential
Bank (FD/RD)	High	High	Low
Gold / Silver	Medium	High	Low
Equity / MF / Stocks	Low	Medium	High
Real Estate	Medium	Low	High
Insurance	High	Low	Medium

 **Insight:** Higher safety usually means lower returns, while higher returns come with higher risk & lower liquidity.

- **Gross returns can be misleading**; net returns matter
- **Taxes & hidden charges significantly reduce actual gains**
- **Equity & insurance-based long-term products** are better positioned to **beat inflation**
- Bank FDs, gold, and real estate may **fail to preserve real wealth** over long periods

✓ Conclusion

A well-balanced portfolio should focus on **inflation-adjusted, tax-efficient investments**, rather than just perceived safety or nominal returns.

How life-insurance products help

Below is a summarise common life products and how they can be used to meet long-term goals given inflation:

A. **Term insurance (pure risk cover)**

What it does: **Provides a large death benefit at low premium — protects family income, loan repayment, children's education, etc.**

How it helps vs inflation: It protects against loss of earning capacity (i.e., protects family from the immediate financial shock). You can set the sum assured to an inflation-adjusted target

Limitations: Term plans do not build inflation-beating savings — claim payout is fixed nominal amount (so choose cover thinking in real, inflation-adjusted terms).

Practical tip: **choose Sum Assured $\approx$ (current annual expenses $\times$ replacement years) $\times$ (1+inflation)ⁿ** for the horizon you want to secure

B. **Endowment / Money-back plans (traditional)**

What they do: **Combine insurance with guaranteed/bonus returns.**

How they help vs inflation: Provide modest nominal returns; historically traditional plans often deliver returns that may lag long-term inflation (especially after taxes/charges), so they're safer but can underperform inflation, especially on long horizons.

Use case: Conservative savers who want guaranteed payouts and insurance in one.

C. **Unit-Linked Insurance Plans (ULIPs)**

What they do: Combine life cover + market-linked investment (equity/debt funds).

How they help vs inflation: If you choose equity exposure, ULIPs can potentially deliver inflation-beating returns over long horizons (equities historically outpace inflation). ULIPs also have insurance element and tax benefits (subject to rules).

Limitations: Charges and fund choice matter; early surrender penalties and fund performance determine real returns.

D. **Pension (annuity) and retirement plans**

What they do: Convert corpus to regular income in retirement.

How they help vs inflation: Some annuities offer inflation-indexed options (or escalation), but inflation-indexed annuities are less common; otherwise you need a bigger corpus to generate the same real income.

Strategy: Build corpus via equity+debt mix and then structure withdrawals or choose annuity with escalation.

E. **Riders & inflation-linked options:**

Some insurers offer critical-illness riders, increasing sum-assured riders, or indexation (sum assured that increases annually). These can help maintain cover against inflation but add to premium.

BOTTOMLINE

Simple rules & a practical strategy you can apply now

1. **Plan in real (inflation-adjusted) terms.** Use $\text{Future Value} = \text{Present} \times (1 + \text{inflation})^{\text{years to set goals}}$

2. **Protection first:** buy adequate term cover sized to replace income and clear liabilities; size it for inflation.

Quick rule of thumb: **target sum assured = (annual household expense today × years you want replacement) × inflation factor.**

3. **Invest for growth to beat inflation:** allocate long-term goals (≥ 7 –10 years) to equity-oriented vehicles (direct equity mutual funds, ULIPs with good fund choices) since equities are likelier to beat inflation over long horizons.

4. **Use guaranteed plans for short/medium needs only.** If you need capital preservation for < 5 years, safer fixed/guaranteed instruments make sense;

5. **Review and top up:** review cover and savings every 2–3 years and increase premiums/investments if your household expenses rise. Consider inflation-index riders or increase sum assured annually by a fixed increment.

6. **Build an emergency fund (liquid)** so you don't have to tap long-term investments and lose growth potential.

5) Illustrative numeric examples

If your **annual expense = ₹6,00,000** and **horizon = 15 years**, **inflation factor ≈ 2.30** $\rightarrow$ **required annual expense then $\approx$ ₹13.8 lakh.** **₹10 lakh today (if held in non-inflation beating cash) $\approx$ ₹4.35 lakh in today's purchasing power after 15 years (i.e., you'd have lost $\approx 56.5\%$ of real value).** ₹10 lakh today (if held in non-inflation beating cash) $\approx$ ₹4.35 lakh in today's purchasing power after 15 years (i.e., you'd have lost $\approx 56.5\%$ of real value).

Quick checklist you can apply this week

1. Calculate current annual household expense (true outflow).
2. Choose planning horizon(s): retirement, children's education, loan tenure.
3. Convert each goal to inflation-adjusted future cost with $(1+i)^n$.
- 4. Buy term cover sized to protect income & liabilities.**
5. Start a SIP into equity funds or ULIP for long goals; increase contributions annually.

Revisit allocation every 2 years.

Why Retirement Planning Should Start Now



Start Early, Retire Stress-Free

The power of compounding works best when you start in your 20s or 30s.



Inflation Is Real

₹100 today won't buy the same in 20 years. Plan ahead to protect purchasing power.



Less Dependency On Children

Financial independence means you won't need to rely on your kids later.



PF & PPF Alone Aren't Enough

Provident Fund is good, but you also need mutual funds, NPS, or SIPs for growth.



Healthcare Costs Are Rising

Medical expenses in old age can be financially draining without a solid plan.



Freedom To Choose Your Retirement Life

Want to travel, pursue hobbies, or live peacefully? Planning gives you choices.



How you must protect Your Retirement Corpus Today

1. Inflation Is Eroding Your Retirement Corpus Faster Than You Think as Inflation isn't just a number — it quietly shrinks value of savings year after year.

Official Indian data shows that headline inflation has recently stayed extremely low around 0.7% (Nov 2025) — but this number masks how prices behave over long periods. Over time, even modest inflation compounds and reduces real purchasing power of money.

Let's illustrate:> If you need ₹1 crore to live comfortably in retirement today, then at a 5% real inflation rate (a realistic long-term assumption), in 20 years you would need around ₹2.65 crore to maintain the same lifestyle. At 6% inflation, this grows to over ₹3.20 crore

2. RBI's Frequent Repo Rate Cuts Are Hurting Safe Savings: In 2025, the Reserve Bank of India has cut the policy repo rate cumulatively by over 125 basis points (1.25%) amid slowing inflation and robust growth. This has improved credit conditions for borrowers — but it has simultaneously driven down returns on safe, low-risk savings such as:

- Bank Fixed Deposits
- Post Office Schemes/PPF
- Small Savings Instruments

Recent moves by **SBI and HDFC Bank** show fixed-deposit rates falling even further, with some tenures now offering near or under **6.5% p.a.** for typical savers.

Compare this with even average long-term inflation over the past decade — savings interest often fails to keep pace, meaning the real value of your conservative corpus is actually shrinking.

3. Stock Markets Can Grow Wealth — But Are Unpredictable in the Short Term: Equity markets can outperform inflation over long horizons — but they also swing sharply in the short term. A sudden correction or bear phase can force emergency withdrawals from your retirement or contingency funds at depressed values.

This risk is particularly acute for middle-class professionals who don't have decades to wait out downturns.

A balanced retirement plan should not be 100% exposed to market volatility, especially for funds you can't afford to withdraw during downturns.

3. Medical & Health Costs Are Rising Rapidly — Your Savings alone won't cover Emergencies: General consumer inflation has been modest recently, but medical inflation is a very different story:

- Estimates of medical cost inflation in India are around **12–15% per year** — far higher than general CPI.
- Professional reports show employee **medical costs in India expected to rise ~11.5% in 2026.**

This means a **medical treatment that costs ₹5 lakh today can cost over ₹15 lakh in just a few years** if costs grow at double-digit rates. No retirement corpus can survive repeated emergency bleed-outs from rising hospitalisation and treatment costs

5. Why Health and Life Insurance Are Non-Negotiable Today:

As medical costs rise faster than average inflation, health insurance becomes a risk transfer tool — not just a financial product. Without adequate cover:

- A single major hospitalisation can wipe out several years of savings & Retirement corpus can be prematurely depleted to pay for treatments

Families may face financial distress when the breadwinner is vulnerable. Life insurance ensures your family's long-term financial security is protected even if the unexpected happens.

6. How Axis Max Life Retirement Solutions Help Protect Your Corpus:

A well-designed retirement product from Axis Max Life Insurance offers several advantages:

✓ **Disciplined Long-Term Savings:** Encourages consistent saving with structured deposits that beat inflation over long horizons.

✓ **Inflation-Adjusted Payouts:** Many retirement products offer income streams that are designed to rise over time, helping protect real spending power.

✓ **Protection from Market Swings:** These solutions combine stable guaranteed components with growth potential without exposing all your corpus to market risk.

✓ **Emergency & Health Safety:** With embedded riders or linked health & life cover options, your retirement savings aren't the first buffer when you face health emergencies.

Summary: What This Means for You

Risk Factor	Impact on Middle-Class Saver
Inflation (CPI low but real cost rising)	Reduces value of corpus
Repo rate cuts & low safe returns	Traditional savings don't keep pace with inflation
Market volatility	Retirement funds exposed to risk
Medical inflation	Costs rising faster than savings growth

Lack of insurance Wealth gets diverted to unplanned expenses

👉 A balanced plan including insurance-backed retirement products, adequate health cover, and life cover preserves value, protects dependents, and secures your financial independence — even in an unpredictable economic environment.

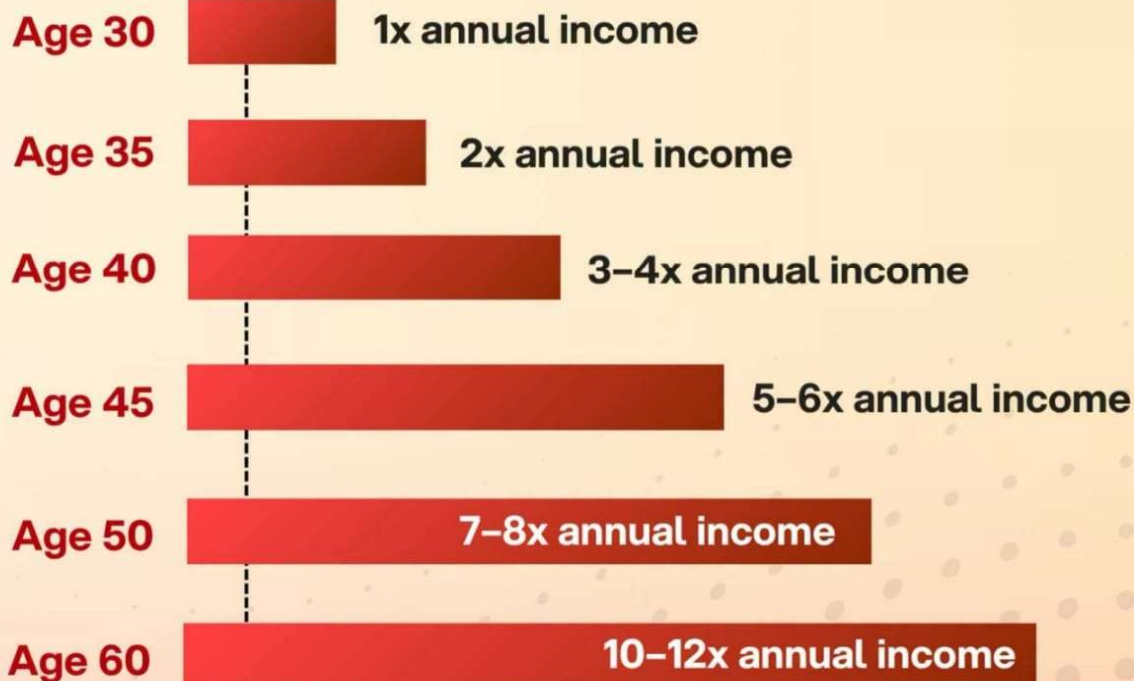
Are You Saving Enough For Retirement?

Outlook
MONEY



Your age has a retirement target. Are you close?

Retirement Corpus Benchmark



Why It Matters: Your retirement fund must beat inflation, rising healthcare costs, and future lifestyle needs.



Source: Fidelity age-based retirement savings benchmarks; Outlook Money analysis for Indian investors

Retirement Planning Comparison: 2015 vs 2025

Parameter	2015 Reality	2025 Reality	What Changed for the Worse
Average Bank FD Rate	8.5% – 9.5%	4.5% – 6%	Interest income nearly halved
Inflation (CPI Avg.)	~5%	~5–6%	Inflation still high
Medical Inflation	~7–8%	10–15%	Explosive healthcare cost rise
Post-Tax FD Return (20% slab)	~7.0–7.5%	~4.0–4.5%	Real income collapse
Real Return on FD (After Inflation)	+2% to +3% (Positive)	–1% to 0% (Negative)	Guaranteed wealth erosion
Life Expectancy at Retirement	72–75 years	78–85 years	Savings must last 10+ extra years
Health Insurance Premium (60+)	₹18k – ₹30k/year	₹40k – ₹90k/year	Premiums doubled/tripled
Retirement Investment Style	Mostly FDs, PPF, SCSS	Forced into MF, NPS, stocks	Safety replaced by risk
Ideal Monthly Retirement Expense (Urban)	₹25k – ₹30k	₹45k – ₹70k	Cost of living doubled
Retirement Corpus Needed for Same Lifestyle	₹1 crore	₹2.5–3 crore	Target moved out of reach
Retirement Anxiety Level	Low–Moderate	Very High	Mental & financial stress

Income Comparison on the Same Retirement Corpus

Example: ₹1 Crore Retirement Corpus

	2015	2025
FD Rate	9%	5.25%
Annual Income	₹9,00,000	₹5,25,000
Monthly Income	₹75,000	₹43,750
Inflation -Medical Inflation	~5%	8–12%
STATUS	Comfortable, dignified retirement	Struggling for the same lifestyle

Loss of ₹31,250 per month on the SAME ₹1 crore corpus

Shock Reality Table (Monthly Income vs Extra Corpus)

Monthly Retirement Income	Corpus Needed in 2015 (9%)	Corpus Needed in 2025 (5.25%)	Extra Corpus Required
₹40,000	₹53 lakh	₹91 lakh	₹38 lakh more
₹50,000	₹67 lakh	₹1.14 cr	₹47 lakh more
₹75,000	₹1.00 cr	₹1.71 cr	₹71 lakh more
₹1,00,000	₹1.33 cr	₹2.29 cr	₹96 lakh more

Now Add Inflation + Medical Costs (The Real Bomb)

1. Safe post-tax FD return $\approx 4\%$
2. Medical inflation $\approx 12\%$
3. Average living inflation $\approx 6\%$

To safely withdraw ₹50,000/month long term:
 $\text{₹}6,00,000 \div 4\% = \text{₹}1.5 \text{ crore}$

Year	Corpus Required	Difference
2015	₹67 lakh	0
2025 (Real Safe)	₹1.50 crore	₹83 lakh EXTRA

The same retirement lifestyle now costs nearly ₹80–85 lakh MORE purely because of policy-driven low FD returns + inflation.

CORE PRINCIPLE (Very Important): In 2025, no single “safe product” can protect retirement alone. Survival now requires a *combination of safety + income + limited growth*.

₹1.5 Crore Retirement Corpus (Safe Allocation)

Segment	Amount	Monthly Support
Safety Income (50%)	₹75 lakh	₹30k–35k
Inflation Protection (25%)	₹37.5 lakh	Future protection
Medical & Longevity (25%)	₹37.5 lakh	Emergency cushion

ANNUITY PRODUCTS Vs Other Investment Avenues

Sr Citizen at a Glance

Parameter	Annuity Products	SCSS	Fixed Deposit	Debt Mutual Fund	Corporate Bonds	NPS
Product Type	Guaranteed Annuity Plan	Govt. Savings Scheme	Fixed Deposit	Market -linked Fund	Fixed Income Security	Retirement Pension Scheme
Risk	Almost NIL	Low	Low	Moderate	Low to Moderate	Moderate
Capital Protection	Yes	Yes	Yes	NO	Generally Yes (depends on issuer)	Market Linked
Lifetime Income	✓ Yes	✗ No	✗ No	✗ No	✗ No	Partial (through annuity after retirement)
Guaranteed Income	✓ Yes	✓ Yes	✓ Yes	✗ No	✓ Yes (coupon based)	✗ No
Income Duration	Lifetime	Limited tenure	Fixed tenure	Depends on withdrawal	Till maturity	Lifetime
Market Risk	None	None	None	Yes	Interest rate/ credit risk	Equity & debt market risk
Interest Rate Risk	None for guaranteed	On reinvestment	On reinvestment	Yes	Yes	Yes
Reinvestment Risk	None	High	High	Moderate	High	Moderate
Longevity Protection	✓ Excellent	✗ No	✗ No	✗ No	✗ No	Partial

Parameter	Annuity Products	SCSS	Fixed Deposit	Debt Mutual Fund	Corporate Bonds	NPS
Return of Purchase Price	Available in selected option	Not applicable	Principal returned	NAV based	Face value at maturity (subject to issuer terms)	Depends on annuity chosen
Death Benefit	Available in selected option	Nominee receives balance as per scheme rule	Principal + accrued interest	Market value	Face value at maturity (subject to issuer terms)	Corpus/annuity rules apply
Inflation Protection	Limited (variable option may help, if chosen)	Limited	Poor	Better potential than fixed income products	Limited	Better over long term due to equity exposure
Liquidity	Low	Moderate	Moderate	High	Moderate	Restricted
Premature Exit	Limited	Allowed with conditions /penalty	Allowed with penalty	Anytime (subject to market)	Sell in market (if listed)	Restricted before retirement
Tax on Income	Taxable as per slab	Taxable	Taxable	Tax depends on prevailing capital gains rules	Coupon taxable	Tax benefits during accumulation ; annuity taxable

Parameter	Annuity Products	SCSS	Fixed Deposit	Debt Mutual Fund	Corporate Bonds	NPS
Tax Deduction on Investment	Generally No	No deduction for fresh SCSS investment	No	No	No	Eligible under applicable Income tax
Estate Planning	Good with Return of Purchase Price option	Moderate	Moderate	Moderate	Moderate	Good
Predictability	Excellent	Good	Good	Moderate	Good	Moderate

Why Retirement Became Harder in 2026

1. Interest income collapsed
2. Medical costs exploded
3. People are living longer without pensions
4. Tax eats up whatever little interest remains
5. Risk is being pushed at the wrong age
6. No universal government pension
7. FD is safe but financially weak

In 2015, ₹1 crore meant peace of mind. In 2025, even ₹2 crore no longer guarantees a stress-free retirement.

What This Means for Today's Middle-Class Worker (30–50 yrs)

If someone plans retirement today using old 2015 assumptions, that person will face:

1. Corpus shortfall of **₹1–1.5 crore**
2. Lower monthly income
3. Forced dependence on children
4. High medical vulnerability

Medical Shock Comparison

Medical Event	2015 Cost	2025 Cost
Normal Hospitalization	₹80,000 – ₹1.5L	₹3–5L
Heart Surgery	₹2.5–3.5L	₹6–10L
Cancer Treatment (1 yr)	₹6–10L	₹15–35L+
Inflation -Medical Inflation	~5%	8–12%

THE RATE OF MEDICAL INFLATION IN INDIA as on today: Here are the key recent data points:

Several industry reports **estimate medical inflation in India to be in the 10 % to 15 % per annum range. A specific figure says medical inflation “currently around 13.2%” in India. compared to general inflation of 4-6%.**

Why is medical inflation higher than general inflation : Here are the main drivers:

- Increase in non-communicable diseases (diabetes, hypertension, cardiovascular) → more treatments, more recurring costs.
- Rising cost of advanced medical technology, imported devices, diagnostics, newer therapies.

- Supply constraints: fewer beds, skilled professionals, infrastructure costs, which push up costs.
- Out-of-pocket burden: Many treatments are paid by households directly, which makes inflation felt more immediately.

Impacts a middle-class family over next 5 years: In case of middle-class families—Let's pick a baseline cost today and then project for 5 years using medical inflation.

Example scenario: Suppose a middle-class family currently has **average annual medical/healthcare cost (including hospitalisation + diagnostics + medicines) of ₹1,00,000 /-.**

Assume medical inflation at 12% per year (within the 10-15% range). - Over 5 years, cost will grow by factor = $(1 + 12\%)^5 \approx 1.12^5 \approx 1.762$ (i.e. ~76% higher). - **So in 5 years, annual cost would be ~ ₹1,76,000** (from ₹1,00,000).

- If inflation is at 14% then factor is $1.14^5 \approx 1.925 \rightarrow$ cost ~₹1,92,500. What it means: What you're paying today (₹1 lakh) may nearly double (or at least increase significantly) in 5 years.

For a middle family this means the “healthcare budget” has to grow, or else you will find yourself under-budgeting / underinsured.

If incomes are growing at say 6-8% per year for many middleclass households, they will grow by maybe $\sim 1.06^5 \approx 1.34$ (i.e. 34% growth) over 5 years. But healthcare cost could grow by ~76-90%. So healthcare cost growth > income growth $\rightarrow$ increasing burden.

This has implications for savings, insurance planning, health cover adequacy, emergency funds, etc. **Additional risk features: Hospitalisation or major treatment costs:** These get magnified. For instance, **cost of some treatments has doubled**

in 5 years. Even if you have insurance, premium hikes and co-payments may increase. Coverage that looks adequate today may become insufficient in 5 years.

Out-of-pocket expenses remain significant in India. So unless you plan ahead, you may face “bill shock”. Simply inflation-adjusting with general inflation (say 6%) is insufficient; the healthcare inflation is much higher. So if we assumed cost doubling in 12 years (at 6%) we are underestimating.

India's medical inflation is currently **estimated at 10-15% per year**, among the highest in Asia. This projection shows how healthcare costs for a typical middle class family may rise over the next 5 years. Such inflation highlights the importance of reviewing your health insurance cover regularly to keep up with the rising cost of treatment and hospitalization.

Enclosed Table showing projected medical costs over 5 years for different starting value:

BASE ANNUAL COST (as TODAY): INR 50,000/-

MEDICAL INFLATION	YEAR	PROJECTED ANNUAL COST
10%	1	55,000
	2	60,500
	3	66,550
	4	73,205
	5	80,526
12%	1	56,000
	2	62,720
	3	70,246
	4	78,676
	5	88,117
14%	1	57,000
	2	64,980
	3	74,077
	4	84,448
	5	96,271

BASE ANNUAL COST (as TODAY): INR 1.00,000/-

MEDICAL INFLATION	YEAR	PROJECTED ANNUAL COST
10%	1	1,10,000
	2	1,21,000
	3	1,33,100
	4	1,46,410
	5	1,61,051
12%	1	1,12,000
	2	1,25,440
	3	1,40,493
	4	1,57,352
	5	1,76,234
14%	1	1,14,000
	2	1,29,960
	3	1,48,154
	4	1.68.896
	5	1,92,541

BASE ANNUAL COST (as TODAY): INR 2,00,000/-

MEDICAL INFLATION	YEAR	PROJECTED ANNUAL COST
10%	1	2,20,000
	2	2,42,000
	3	2,66,200
	4	2,92,820
	5	3,22,102
12%	1	2,24,000
	2	2,50,880
	3	2,80,986
	4	3,14,704
	5	3,52,468
14%	1	2,28,000
	2	2,59,920
	3	2,96,309
	4	3,37,792
	5	3,85,083

TERM INSURANCE (PURE RISK COVER)

A Term Insurance Plan is the simplest and purest form of life insurance.

Term insurance is a pure life insurance product, which provides financial protection to the policyholder. In case of death of the insured during the policy period, the beneficiary receives as defined under the chosen term insurance plan. Securing your family in your absence should be your top priority and a term life insurance plan is the risk-free way to do so. Term plan ensures that the financial security of your family is maintained even after your death. Moreover, it does not affect your current lifestyle as it can be easily afforded given the coverage you're opting for.

Think of it as: "Income protection for your family."

Mr. X pays a fixed premium every month/year, and if the insured person dies during the policy term, the insurance company pays a large amount (called *SUM ASSURED*) to the nominee/family.

Why Everyone Should Have a Term Plan: A term plan is important because your family may depend on your income.

1. Family Financial Protection: If the earning member dies, the family still needs money for:

- Daily expenses
- Children's education
- Home loan EMI
- Marriage expenses
- Medical costs

A term plan gives immediate financial support

2. Very High Coverage at Low Cost: You can get: ₹1 crore cover at a relatively low premium if bought young and healthy.

This makes term insurance the most affordable life cover.

3. Helps Repay Loans: If you have:

- Home Loan
- Car loan
- Personal loan

The Insurance amount can help your family repay debts

4. Tax Benefits : Premiums paid are eligible for tax deductions under Section 80C, and claim payouts are generally tax-free under Section 10(10D).

5. Peace of Mind : Your family remains financially secure even in your absence.

Here are some of the essential term plan medical tests required by insurers for term insurance

1. Medical History Questionnaire
2. **BODY MASS INDEX (BMI):** It is a measure that classifies an individual as underweight, overweight, obese, or healthy, based on their height and weight to assess overall body fat composition.
3. **BLOOD PRESSURE:** It is the force exerted by circulating blood on the walls of blood vessels, measured in millimeters of mercury (mmHg) and expressed as two numbers: systolic pressure (when the heart beats) over diastolic pressure (when the heart rests between beats).

4. **HEART RATE:** It is the number of times the heart beats per minute (bpm), indicating cardiovascular health and fitness levels.
5. **CHOLESTEROL LEVELS:** It is the measurement of the amount of cholesterol in the blood, including total cholesterol, LDL (low-density lipoprotein), HDL (high-density lipoprotein), and triglycerides, which are important indicators of cardiovascular health.

6. PATHOLOGICAL TESTS

- **COMPLETE BLOOD COUNT (CBC):** It measures several blood components to provide an overview of overall health. This test is part of routine health check-ups as it helps diagnose various symptoms, followed by necessary treatment
- **BLOOD GLUCOSE TEST:** Measures glucose levels in blood.
- **LIPID PROFILE:** Measures the levels of different fats in the blood, including cholesterol and triglycerides.
- **LIVER FUNCTION TEST (LFT):** Evaluates the health of the liver by measuring levels of enzymes, proteins, and bilirubin in the blood.
- **KIDNEY FUNCTION TEST (KFT):** Assesses kidney health by measuring levels of creatinine, urea, and electrolytes in the blood.
- **URINE ROUTINE TEST (URT):** Evaluates kidney function and detects urinary tract infections or other kidney-related issues.

7. Specialised Tests

- **ECG (ELECTROCARDIOGRAM):** Records the electrical activity of the heart to detect any abnormalities.
- **CHEST X-RAY:** Provides images of the chest to evaluate lung and heart health.
- **ECHOCARDIOGRAPHY:** A detailed analysis of the heart function
- **ULTRASOUND:** Uses sound waves to create images of internal organs, such as the abdomen or pelvis, to assess their health.
- **ULTRASONOGRAPHY:** Examination of the internal organs to confirm suspected health conditions.

SAVINGS PRODUCTS (TRADITIONAL)

A savings plan is a financial product that helps build a financial corpus for the future through regular contributions made over an extended period of time. While a majority of savings plans in India are investment focused, some of these plans can also offer additional benefits such as life insurance cover, protection of the principal invested and tax savings.

Depending on the savings plan chosen, the wealth creation benefit received by the investor can be in the form of guaranteed returns or market-linked returns. The payouts offered by these investments can also vary ranging from a lump sum payout at maturity to a regular payouts received over a predetermined period of time.

For example, suppose your goal is to accumulate ₹30 lakh for your child's higher education in the next 10 years. A savings plan that provides you fixed returns of 7% p.a. can help you accumulate this amount if you invest around ₹29,500 per month for the next 10 years.

Savings Plans in India

Every savings plan in India has its unique benefits and limitations so no specific one can be singled out as the best savings plan in India. The choice of plan will depend on multiple factors ranging from the financial needs and risk tolerance of the investor to the liquidity requirements and expected returns.

Below are some of the popular savings plans in India that suits the investment needs of various categories of investors:

RECURRING DEPOSIT	A recurring deposit allows you to invest a fixed amount every month for a predetermined period. FEATURES • It promotes disciplined saving behaviour since one is required to contribute a set amount each month. • The interest rate is fixed at the time of account opening and is locked for the entire duration of the RD. • RD tenure typically ranges from 6 months to 10 years. • Premature redemptions are allowed subject to applicable penalty. • Interest earned from recurring deposits is taxable as per the applicable income tax slab rate.
FIXED DEPOSITS	A fixed deposit (FD) is a traditional option in which you deposit a lump sum with a bank or financial institution for a specified period in exchange for a fixed rate of interest. It is usually viewed as an important part of a conservative investment strategy. FEATURES ✓ The investment will provide guaranteed returns at an interest rate that is locked-in at the time of account opening. ✓ Investors can choose from a range of tenure options, starting from a few days to several years. Most banks permit loan or overdraft facilities on the FD balance in case money. ✓ Premature withdrawal is allowed with applicable penalties. ✓ The interest earned on an FD is taxable according to the investor's applicable income tax slab. • A special type of FD, the 5 year Tax Saver FD offers tax benefits u/s 80C if the depositor has opted for the old tax regime

MONTHLY INCOME PLANS	Monthly income plans are savings options designed to provide a steady stream of income at regular intervals. They are often chosen by individuals who want financial stability through periodic payouts to support everyday expenses, retirement needs, or other recurring commitments. FEATURES • A part of the invested amount or the returns is distributed at regular intervals to create a consistent income stream. • If the investor survives the policy term, the remaining corpus or a lump sum amount may be paid at maturity, depending on the monthly savings plan structure. • If the monthly income scheme includes a life insurance component and the insured passes away during the term, the nominee may receive the full sum assured regardless of the payouts already made. • Returns may vary depending on the performance of the underlying investments in market-linked plans.
KISAN VIKAS PATRA (KVP)	Kisan Vikas Patra is a small savings program offered by the government to all Indian citizens. It is considered as a risk-free savings plan that doubles the investments within a given period, current 115 months (applicable till 31 March 2026). FEATURES • The scheme is supported by the Government of India and the sovereign guarantee offers stable and predictable returns. • This savings scheme requires a minimum investment of ₹1,000, and additional deposits can be made in multiples of ₹100. There is no maximum limit on KVP investments. • The scheme may be availed at any post office or authorised bank in the country. • Investments in KVP can be encashed prematurely after 2.5 years at specified rates from the date of investment.

NATIONAL SAVINGS CERTIFICATE (NSC)	National Savings Certificate (NSC) National Savings Certificate is a government-backed savings scheme that functions as a fixed-income investment option and can be opened at any post office. It is an ideal investment for investors seeking guaranteed government-backed returns and capital protection. FEATURES • The maturity period of the National Savings Certificate is 5 years. • Minimum deposit amount is ₹1000 and increments are allowed in multiples of ₹100. • There is no maximum deposit limit, however, maximum tax benefit that can be claimed in a tax year is capped at ₹1.5 lakh. • Investors can avail themselves of loan facilities by pledging their National Savings Certificate with the lender. • Investment in the NSC allows tax deductions under Section 80C for investments up to ₹1.5 lakh per financial year.
PUBLIC PROVIDENT FUND (P PF)	Public Provident Fund is a long-term savings scheme that matures after 15 years from the date of account opening. Investors can contribute a minimum of ₹500 and a maximum of ₹1.5 lakh in a financial year. FEATURES • Contributions made up to ₹1.5 lakh per year qualify for tax deductions under Section 80C of the Income Tax Act, if the investor has opted for the old tax regime. • PPF features E-E-E (Exempt-Exempt-Exempt) tax status, meaning the contributions, the interest earned, and the maturity proceeds are all tax exempt. • After initial maturity of the PPF account, multiple extensions in blocks of 5 years are allowed. • The account can be easily transferred between authorised banks and post offices anywhere within India • Loan against PPF facility is available from the 3rd to the 6th financial year.

SENIOR CITIZEN SAVINGS SCHEMES (SCSS)	The Senior Citizen Savings Scheme is a government-sponsored savings scheme aimed at addressing the financial requirements of senior citizens in India. This savings plan provides a fixed income upon retirement, and an SCSS calculator can be used by the investors to project the interest earned and the maturity value. FEATURES • Individuals aged 60 years and above can open an SCSS account. Additionally, individuals aged 55 to 60 years who have opted for voluntary retirement may also be eligible. • Minimum deposit is ₹1,000. Maximum deposit allowed is ₹30 lakh. • Investment tenure is 5 years, with an option to extend for 3 more years. • SCSS investments (only the principal amount) qualify for tax deductions up to ₹1.5 lakh in a tax year under Section 80C if the investor has opted for the old tax regime. • Interest payouts from the account occur on a quarterly basis. The interest income is subject to taxation as per the individual's tax slab.
POST OFFICE MONTHLY INCOME SCHEME (POMIS)^a	Post Office Monthly Income Scheme (POMIS) is a popular savings scheme offered by India Post and is considered a secure option for individuals looking for a low-risk way to save. FEATURES • There is a 1-year lock-in period, and the funds can be withdrawn prematurely. • Account matures after 5 years and all funds have to be withdrawn, as no extension is allowed. • Minimum balance required for account opening is ₹1,000. Maximum investment allowed is ₹9 lakh (Single Account) and ₹15 lakh (Joint Account). • A POMIS account can be opened and held by a minimum of 1 individual and a maximum of 3 adults. • Interest from the account balance is credited on a monthly basis. This interest, if not withdrawn does not accrue further interest.

NATIONAL PENSION SYSTEM (NPS)	The National Pension System (NPS) is a government-regulated, long-term retirement savings scheme available to employees in the public, private, and unorganised sectors. It is designed to help individuals build a retirement corpus through regular contributions. FEATURES • NPS is a market-linked retirement plan that allows investments in 4 asset classes – equity, government securities, corporate bonds and alternative investment funds. • NPS allows investors to flexibly to allocate funds across different asset classes. • Maximum age of entry in NPS is till the age of 60 years and investments can be held till the age of 75 years • For NPS Tier 1 account holders, tax benefits up to ₹1.5 lakh per financial year are available under Section 80C. Individuals can get an additional ₹50,000 deduction by filing their ITR under Section 80CCD(1B). • NPS Tier 2 account is an investment account that does not offer tax benefits in most cases. Government employees can claim tax benefit on Tier 2 contributions u/s 80C if the investments are held for at least 3 years. • Only 3 partial withdrawals are allowed throughout the investment period for specific reasons like marriage costs, education expenses, medical costs, etc.
EMPLOYEE PROVIDENT FUND (EPF)	It allows salaried employees to contribute a portion of their income to a provident fund account, helping them build a financial corpus for retirement. FEATURES • EPF helps individuals plan for retirement and build a secure financial future through long-term savings. • Both the employee and employer contribute to the EPF account, helping increase the retirement corpus. • Generally, 12% of the employee's basic salary is contributed, and the employer contributes a similar percentage to the EPF account.

	• EPF allows partial withdrawals for purposes such as children's education or marriage, medical treatment, and house construction.
ATAL PENSION YOJANA (APY)	Atal Pension Yojana is a government-backed retirement-focused pension scheme that is designed to provide assured pension after retirement. It was designed to address the longevity risks among unorganised sector workers by allowing them save voluntarily to secure their post-retirement finances. FEATURES • The scheme offers a guaranteed monthly pension ranging from ₹1,000 to ₹5,000, depending on the subscriber's choice and contributions during the working years. • The pension is guaranteed by the Central Government, helping ensure a predictable income stream for retirees especially those working in the unorganised sector. • The scheme is available to Indian citizens aged 18 to 40 years who have a savings bank account. • Since October 2022, individuals who have filed ITR in the previous tax year are not eligible to enrol in the APY scheme.
VOLUNTARY PROVIDENT FUND (VPF)	Voluntary Provident Fund (VPF) is an extension of the EPF scheme that allows employees to contribute more than the mandatory 12% of their salary. However, an equal co-contribution by the employer is not required in this case. FEATURES • It offers the same interest rate as EPF, which is currently 8.25% p.a., subject to revisions. • Contributions and interest earned may be tax-free if the funds are withdrawn after a minimum investment period of five years. • Applicable for EEE tax benefits, so tax exemption applicable on contribution, interest earned and . However, after Budget 2021, the exemption on the accrued interest will be applicable up to an amount of ₹2.5 lakh only • It is a suitable savings option for salaried individuals who wish to build a larger retirement corpus without taking market-related risks. • ☐ The fund allows partial withdrawals for specific purposes such as medical treatment, construction of residential house, etc.

SUKANYA SAMRIDHI YOJANA (SSY)	SSY is a government-backed small savings plan that was introduced as part of the Beti Bachao, Beti Padhao program to provide financial security to the girl child. Sukanya Samriddhi Yojana gives parents or guardians a chance to save in a systematic manner towards the long-term needs for up to 2 girls. The maturity period for an Sukanya Samriddhi account is 21 years from the date of opening. The account can be prematurely closed if the girl child gets married after attaining 18 years of age. FEATURES • Parents or the legal guardians can open the scheme on behalf of a girl child who is below the age of 10 years. • The minimum deposit required for opening SSY account is ₹250, while the maximum deposit permitted in a financial year is ₹1.5 lakh • It provides EEE (Exempt-Exempt-Exempt) tax benefits, where contributions, interest earned, and the maturity amount are tax-exempt. However under current rules, tax benefit on contributions can be claimed only if you have opted for the old tax regime. • Withdrawal equal to up to 50% of the account balance is permitted to cover the account holder's higher education expenses.
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Benefits of Savings Plan

1. Encourages Financial Discipline: Savings plans promote the habit of setting aside money regularly. Consistent contributions help individuals develop disciplined saving habits that support long-term financial stability.
2. Life Cover Along With Savings: Many savings plans include a life insurance component. In case of the insured's unfortunate demise, the family receives a payout that can provide financial support during difficult times. Using tools such as a life insurance calculator can help you estimate the level of coverage needed to adequately protect your family.

3. **Helps Achieve Financial Goals :** You can use a savings plan to slowly build a corpus towards significant life objectives. They can involve buying a car, going on a vacation, or financing your child's education or your retirement.
4. **Flexible Investment Options :** Most savings plans offer flexibility in terms of allowing you to choose how to invest your funds based on your risk preference. For example, ULIPs allow you to switch between funds based on the current market conditions.
5. **Tax Advantages :** As most of the savings schemes cover life insurance benefits, they can entail tax deductions on Section 80C of the Income Tax Act (old tax regime). Individuals may claim deductions of up to ₹1,50,000 per year on eligible contributions, subject to applicable tax rules.
6. **Potential or Guaranteed Returns :** Depending on the type of savings plan selected, you may receive guaranteed benefits or market-linked returns at maturity. Some plans also offer the option to receive payouts at regular intervals while the policy remains active.

WHY SAVINGS PLAN FROM AXIS MAX LIFE

Axis Max Life Insurance offers savings plans that help you increase your wealth while providing financial protection for your family. Check out the salient features below:

- I. **Wealth Creation Potential:** Savings plans from Axis Max Life Insurance such as ULIPs feature multiple funds with high long-term growth potential. For instance, the 10-year returns of the Nifty Midcap 150 Momentum 50 Index which is the underlying index of the Axis Midcap Momentum Index Fund has delivered returns as high as 23.12%*+.
- II. **Flexible Payout Options:** Axis Max Life Plans come with flexible benefits and options. For instance you may choose to receive the maturity amount as a lump sum or opt for regular payouts over an extended period of time

- III. **Life Cover Benefit:** All Axis Max savings plans offer the benefit of life cover. This ensures that your family receives financial support in case of an unforeseen event happens to you during the policy term.
- IV. **Tax Benefits:** If you have opted for the old tax regime, premiums paid for Axis Max Life savings plans offer tax deduction benefit u/s 80C. The payouts are tax exempt u/s Section 10 (10D) irrespective of the tax regime chosen.
- V. **Nil GST Benefit:** Currently all savings plans offered by Axis Max Life Insurance to individuals carry the benefit 0% GST benefit on all premiums paid. This results in significant savings over the entire policy term.
- VI. **Optional Add-Ons:** Optional riders can be added to enhance the protection offered by the savings plan. The add-ons available vary depending on the Axis Max Life Savings Plan chosen.
- VII. **Life Long Income Option:** Some Axis Max Life savings plan variants offer the option to receive regular income for an extended period or even throughout the policyholder's lifetime.
- VIII. **Zero Commission and Policy Allocation Charges:** Market-linked Axis Max Life savings plans are offered with key benefits such as zero commission and policy allocation charges this is can increase net returns from the plan.
- IX. **Unlimited Free Fund Switches:** Axis Max Life offers many long-term savings plans such as ULIPs and pension plans that offer the benefit of unlimited free fund switches, which can help optimise investment returns.

ENDOWMENT PRODUCTS

An endowment policy is a type of life insurance policy that combines financial protection with disciplined savings. In this plan, beneficiaries get a death benefit in case of the policyholder's demise. However, if the proposer survives the policy tenure, they receive a guaranteed maturity benefit.

The life cover payout and applicable bonuses (if any) can be used to fulfil various financial goals like funding a child's education, arranging down-payment for a home, etc. Another perk of this type of policy is that it doubles as a savings instrument.

These plans offer moderate returns with low overall risk and allow policyholders to build wealth through regular investments. An Endowment Plan is a traditional life insurance product that combines:

- Life Insurance Protection
- Long-Term Savings
- Maturity Benefit

If the policyholder survives the policy term, the maturity benefit is paid. If death occurs during the term, the nominee receives the death benefit.

Example: You pay ₹1 lakh annually for 15 years. AT MATURITY

- You receive Sum Assured + Guaranteed Additions/Bonuses (as applicable).
- In case of death during the policy term, the nominee receives the death benefit.

How Does an Endowment Policy Work?

Like other types of life insurance policies, An endowment policy works through regular or limited premium payment. You can pay premiums regularly; a pre-decided sum assured will be paid to the nominee in the instance of the untimely death of the policyholder or the maturity amount is paid in case the policyholder stays alive.

In addition to it, some types of endowment plans offer guaranteed additions and bonuses. The returns or the sum assured differ from policy to policy. For instance, if you choose a low-risk endowment plan, you get a guaranteed sum that depends on the premium. However, in other types of endowment plans, the policyholder gets additional profits and returns based on market conditions.

Features of an Endowment Plan

1. **Lump-Sum Payout**: Some types of endowment insurance plans offer a lump-sum payout. The lump-sum payout can include the sum assured, and guaranteed additions provided by various types of endowment plans.
2. **Option to Buy Riders**: With an endowment plan, policyholders can buy additional riders to maximize their benefits. Riders offer various benefits to the policyholder in return for a nominal extra premium. Every insurance company provides different type of riders. However, some of the most commonly found riders include critical illness, waiver of premiums, and accidental death riders.
3. **Survival Benefit and Death Benefit**: The pivotal characteristic of an endowment plan is that it provides both, survival benefit and death benefit. If the policyholder survives the policy term, they can get the maturity amount, and if they do not, the beneficiary gets the sum assured.
4. **Suits Both High and Low-Risk Appetite**: Whether you are someone who can afford to take more risks or someone who cannot, there are different types of endowment plans catering to every level of risk appetite, high or low. Unit-linked endowment plan, for instance, is most suitable for individuals who have a high-risk appetite, while individuals with a low-risk appetite can opt for the kind of endowment plan that mitigates market risks by providing a guaranteed sum.

Types of Endowment Policy

Endowment policies come in different variants to suit varying risk preferences, income patterns, and liquidity needs. While all endowment plans combine insurance with savings, they differ in payout

1. **Non-Profit Endowment**: This plan offers a fixed and guaranteed payout, payable either on policy maturity or in the event of the policyholder's death. There is no bonus included
2. **Guaranteed Endowment**: This promises a fixed amount at maturity or to your family in case of your demise. Market conditions do not affect the payment. There may be bonuses; however, the primary benefit is the assured payout, with the possibility of additional returns
3. **Limited Premium Payment Endowment**: Here, you pay premiums for a short time and stay covered for the full policy term. This is beneficial if you want both savings and protection without the hassle of long-term premium payments
4. **Money-Back Endowment**: With this, you get payouts at regular intervals during the policy term, not only at the end. Additionally, you get life cover for the entire policy period
5. **Low-Cost Endowment**: This helps you repay a loan or home loan by the end of the policy period. Alongside, there is life cover at lower premiums, making it an affordable option for many
6. **Unit-Linked Endowment**: It combines life insurance with market investments. One part of your premium gives life cover, while the other is invested in market-linked funds. However, returns depend on market condition; so, there is risk involved.

ENDOWMENT FUND

An endowment fund refers to the savings component within an endowment insurance plan that helps accumulate wealth over time while providing life cover. It focuses on disciplined contributions, predictable growth, and long-term financial security.

Endowment funds are suited for individuals seeking low-risk savings with insurance protection rather than market-linked returns.

Key characteristics

- Combines insurance and disciplined savings
- Offers guaranteed maturity payouts and low-risk
- Provides life cover in your absence
- Tax benefits under Sections 80C and 10(10D)
- Flexible premium payment options are available (monthly, quarterly, yearly, or one-time)

RIDERS FOR ENDOWMENT PRODUCTS

RIDERS are additional covers that can be bought on top of a basic insurance policy. The additional cover provides benefits that can help individuals save more by offering extensive coverage. Generally, these are a few riders that can be bought with an endowment plan.

- I. **Critical Illness Rider**: Illnesses don't come with a warning, all the reason why getting a critical illness cover can be highly beneficial if God forbid there's a diagnosis. A critical illness rider provides a lump-sum payout to aid with the heavy medical costs of the treatment.
- II. **Disability Rider**: Disability caused due to an illness or accident can cause significant losses, both emotional and financial. A disability rider can mitigate the financial loss by offering an extra payout if such a mishap occurs.
- III. **Waiver of Premium**: Death or critical illness can disrupt the premium payment following financial struggles caused by them. Waiver of premium rider, as the name suggests, waives off the future premium paying requirement if the policyholder is diagnosed from a critical illness, disability.
- IV. **Hospital Cash Benefit**: Hospitalization can cause significant financial stress. A hospital cash benefit provides some relief by offering a daily cash allowance in an event of hospitalization

ENDOWMENT Vs TRADITIONAL SAVING PRODUCTS

PARAMETER	ENDOWMENT PLANS	TRADITIONAL SAVING PLANS
Primary Objective	Lump-sum wealth creation at maturity	Savings plus regular income and financial goal planning
Maturity Benefit	Usually paid as a lump sum at maturity	Can be lump sum, regular income, or a combination
Returns	Guaranteed benefits and/or bonuses (depending on plan type)	
Flexibility	Generally less flexible	More flexible payout structures
Life Cover	Included	
Risk	NIL	
Market Exposure	NONE	
Features	• Life Insurance Protection • Long-Term Savings • Maturity Benefit	• Guaranteed Income • Deferred Income • Wealth Creation • Retirement Income Planning • Flexible Payout Structures Instead of only receiving a lump sum at maturity, the policyholder may choose: • Monthly Income • Annual Income • Lump Sum • Combination of Income + Lump Sum
Suitable For	Wealth accumulation for a future goal	Income planning and long-term financial security

ENDOWMENT Vs TERM PRODUCTS

PARAMETER	ENDOWMENT PLANS	TERM PRODUCTS
Goal	Combination of protection and savings	Pure Protection
Sum Assured	Lower	Higher in comparison
Savings	Helps to create wealth by building a fund for future requirements	Not a savings plan, no provision to grow wealth
Benefits	Offers dual benefit of insurance with life cover along with investing for long-term wealth creation	Provides only life cover
Affordability	Insurance and Investment	Low premiums as there is only insurance aspect
Maturity Benefit	The benefit is only paid at the end of the term.	Pays only a death benefit if the policyholder passes away during the term. With the Return of Premium option, all paid premiums are returned if the policyholder survives the term
Liquidity	Partial withdrawals are allowed for specified limits only during an emergency (ULIPs)	No liquidity
Tax Benefits	Maturity benefit and sum assured are exempt under Section 10(10D). Also, the premiums paid are exempt up to ₹1.5 lakhs yearly under Section 80C (old tax regime)	Premiums paid are exempt up to ₹1.5 lakhs annually under Section 80C (old tax regime)
Best Suited If	You want added financial security from both your insurance and investments	You want your dependents to be financially secure, especially when you are no more

UNIT LINKED INSURANCE PRODUCTS (ULIP)

Unit Linked Insurance Plans (ULIPs) combine the benefits of life insurance cover and market-linked investments within a single policy. One part of the premium paid for the policy is paid for life insurance cover, while the remaining portion is set aside for market-linked investments. Such investment instruments can be equity, debt, or hybrid funds.

A ULIP is a dual benefit insurance plan that combines the protection of life insurance with long-term wealth creation through market-linked investments.

A portion of your premium is used to provide life cover, and the remaining amount is invested in MARKET-LINKED ASSETS. Unlike Traditional insurance plans, ULIPs provide you with the flexibility to invest in EQUITY, DEBT, or HYBRID FUNDS based on your financial goals. ULIP plans may suit individuals with moderate-to-high risk appetite looking for long-term wealth creation and tax-efficient investment options.

1. PREMIUM ALLOCATION : ULIP premium is split into two portions after deduction of any applicable fees and charges. The first thing that you need to understand is ULIP premium. You can pay the ULIP premium MONTHLY, QUARTERLY or ANNUALLY. After deducting applicable charges, part of the premium is paid for LIFE INSURANCE COVER, and the remaining amount is allocated to the chosen market-linked funds. This ensures both protection and wealth creation in a single plan.

MECHANISM OF PREMIUM IN ULIP: **In an Axis Max Life ULIP, there is no fixed percentage split such as "30% for insurance and 70% for investment." The actual allocation is variable and depends on the specific ULIP product, your age, premium amount, policy year, sum assured, and applicable charges.**

HOW A PREMIUM ACTUALLY DISBURSED: Suppose you pay a premium of ₹1,00,000: Premium Allocation Charge (if applicable) is deducted first. The balance is invested into the selected fund(s).

Every month, Mortality Charges (cost of life insurance cover) and Policy Administration Charges are deducted by cancelling units from the fund account. Fund Management Charges (FMC) are adjusted through the NAV of the fund.

Therefore: **Investment Component = Premium – Charges**
Insurance Component = Mortality Charges deducted for risk cover
The ratio changes every year and is not predetermine
 It is variable.

For example, a healthy 30-year-old may pay very low mortality charges initially, so over 95% of the premium (after allocation charges) may effectively go toward investment. As age increases, mortality charges generally increase, causing a larger portion of the premium/fund value to be used for life cover.

Many investors assume charges are deducted only from the investment side, but a ULIP has multiple charges: Thus, even the cost of life insurance (mortality charge) is deducted from the investment fund by cancelling units every month

- One portion is used to provide life insurance cover benefit, including risk cover. This provides a sum assured to your nominees in case of your demise within the policy period.
- The remaining portion is allocated towards one or more funds of your choice. This portion is ultimately invested in various market-linked instruments such as equity stocks, corporate bonds, government securities, etc.

2. FUND OPTIONS : ULIP fund options are categorised by risks, which can be summed up as follows:

- **EQUITY FUNDS** : These funds primarily invest in equity-oriented instruments. These are prone to high level of risk, however capable of providing inflation-beating returns in the long-term.
- **DEBT FUNDS**: Invest mainly in fixed-income securities such as government or corporate bonds. These investments are typically less volatile than equities, however returns tend to be relatively

3. UNITS & NAVs : In ULIP plans, your investment works like mutual funds through units and NAV. The number of units you hold represents your ownership in the fund. NAV is the price per unit, which is calculated daily.

- **NET ASSET VALUE (NAV)** : The investment part buys units of the selected fund. The price of one unit is called the NAV.
 - Mutual funds → units + NAV
 - ULIPs → also units + NAV

The difference is that ULIPs combine insurance + investment.

NAV changes daily because the underlying investments move with the market. If the fund invests mostly in equities:

The standard formula is:

$$\text{NAV} = (\text{"Market Value of Investments"} + \text{"Assets"} - \text{"Liabilities"}) / \text{"Total Number of Units"}$$

- Market up → NAV rises
- Market down → NAV falls

Axis Max Life states that ULIP NAV is calculated daily based on market value of assets and liabilities.

4. MATURITY BENEFITS : Maturity benefit is payable on survival till the end of the policy term. It is equal to the “Fund Value” on the maturity date. The insurer pays the maturity benefit in the form of a lump sum, which is credited directly to your bank account

Before investing in a ULIP, you need to understand what is ULIP and how it works. You need to understand its features like protection, charges, risks, and market-linked return potential. ULIPs work in a few steps, and every investor needs to understand them clearly.

1. **FUND ALLOCATION**: ULIP premium is invested in equity, debt, and hybrid funds based on the investor’s financial goals, and risk appetite. EQUITY FUNDS involve high risks but offer high returns too. On the other hand, ***DEBT FUNDS are low risk but offer stable returns. Hybrid funds are a mixture of debt and equity, ensuring moderate risk.***

2. **ULIP FUND NAV**: The growth of your investment depends on the NAV (Net Asset Value) of the ULIP fund that you have selected, which reflects its per-unit market value. NAV is subject to daily fluctuations based on
3. **INSURANCE COVER**: A part of your ULIP premium is allocated for life insurance, which ensures that your nominee will receive a lump sum payout in case of your demise. The sum assured helps cover your family's expenses, your child's education, debts, and maintenance of their lifestyle, even in your absence. Thus, a ULIP ensures both financial security and long-term growth.
4. **FLEXIBILITY OF INVESTMENT**: ULIPs empower you to adapt to changing needs by switching between equity, debt, or balanced funds, or opting for partial withdrawals after a ULIP lock-in period. This lets you realign with goals like retirement or a child's education without exiting entirely
5. **CHARGES**: ULIP includes deductions for fund management fees, premium allocation expenses, mortality charges, etc. Such charges can reduce your overall returns. So, when purchasing a ULIP plan, review the policy documents carefully to know what is ULIP plan, along with various applicable charges to avoid them.
6. **RETURNS**: Returns from your ULIP fund depend on your fund choice and market conditions. Equity funds offer huge returns, but they are subject to market volatility. However, debt funds ensure stable returns with less volatility. Holding your funds for the long term helps maximise wealth through compounding.

FUND OPTIONS UNDER ULIPs

Some of the most common investment options available under ULIP plans are

1. **EQUITY FUNDS**: In an equity fund of ULIP plans, the allocated investment amount is used to purchase STOCKS, which have a Net Asset Value (or NAV) associated with them., NAV is the price per share (or 'unit') in a Fund.

As the ULIP full form suggests, ULIP plan is a market-linked instrument, so the investments in equity carry high inherent risk because of market fluctuations. However, equity investments can also be the most rewarding.

2. **DEBT FUNDS:** The premium allocated towards debt funds is used to invest in instruments such as Government Bonds, and debentures, which offer a lower risk than equity investments. Compared to equity investments in ULIP plans, however, debt funds may offer a lower return on investment.
3. **HYBRID/BALANCED FUNDS:** Under ULIP plans, Hybrid or Balanced Funds are designed to provide capital growth (from the equity component) while ensuring lower risk (due to the debt component.) In case of market fluctuations, thus, any loss that you incur from the equity portion is balanced out by the lower risk yet consistent returns from the fund's debt portion.

Below table enumerates the various aspects of the ULIP plan fund options

FUND TYPE	INVESTMENT
EQUITY FUNDS	Primary investments include company stocks that focus on capital appreciation
DEBT FUNDS	Investments include government securities, corporate bonds, and other fixed-income
HYBRID/BALANCED FUNDS	Investments combine equity component with fixed interest instruments

How Is ULIP Plan Structured?

The investment options under ULIP plan or Unit Linked Insurance Plan are structured similar to those of mutual funds. ULIP plans pool investments from different investors before they are allocated to different fund options based on individual preferences. The assets under ULIP plans are managed by dedicated fund managers, whose focus is towards accomplishing specified investment objectives.

As an investor, you can buy shares or 'units' in a single strategy or choose to diversify your investments across several market-linked ULIP funds. When you choose to buy into a ULIP fund, you must first commit an initial lump sum payment. Subsequently, you have to make premium payments towards the plan – annual, semi-annual, or monthly. The premium payment obligation varies from one ULIP plan to another, as evident through the estimates made through the ULIP calculator. The premium invested in a ULIP plan is proportionally invested towards a specified investment mandate.

However, ULIP means flexibility to investors, allowing them to choose to adjust their fund preferences, depending upon their needs, throughout the investment duration.

How to Calculate ULIP Returns and Premiums

You can calculate ULIP returns based on absolute returns and CAGR. Here are the formulae to do so:

1. **ABSOLUTE RETURNS**: Using absolute returns provides you with the percentage growth in your investment value after deducting the ULIP charges. This does not consider the time period over which this growth has occurred.

The formula to calculate absolute returns is this:
Absolute returns = [(Current value - Value at the time of purchase) / Value at the time of purchase] x 100

2. **COMPOUND ANNUAL GROWTH RATE (CAGR)**: Using CAGR, you can calculate the compounded annual growth rate that your investment has achieved over a specific time period. The formula is as follows:

CAGR = {[(Current value / Value at the time of purchase) ^ (1/ number of years)] - 1} x 100

How does ULIP Work?

Now that we know what is ULIP and its basics, let's check how ULIP works and help you grow your money:

1. **Premium Payment**: The policyholder pays a regular premium to the insurance company either monthly, quarterly, half-yearly, or annually
2. **Life Cover and Investment**: A portion of the premium is dedicated to life insurance coverage, while the rest of the premium is invested in various securities, such as debt, equity, or balanced funds, depending on the investor's risk appetite and preferences.
3. **Units Allocation**: The insurance company allocates units to the investor based on the invested amount, measured by Net Asset Value (NAV), which fluctuates with asset performance.
4. **Fund Management**: Fund managers track and manage the investment
5. **Maturity Benefits**: The investor will receive the fund value at maturity based on the total units allocated to them and the fund's current NAV.
6. **Death Benefits**: In the event of the policyholder's sudden demise, the nominee receives the sum assured or the fund value, whichever is higher.

TYPES OF ULIPs

Currently available ULIPs in India are typically classified based on the specific life goals they are designed to achieve. Different types of ULIP plans in India include the following:

1. **PENSION ULIP**: A pension or Retirement ULIP focuses on building a retirement corpus. At maturity, you can take a lump sum or use a part of it to buy an annuity plan for regular income. Such plans also allow fund switches, enabling you to modify your investments based on market conditions or life stages.

2. **EDUCATION ULIP**: Education or Children ULIPs are designed for a child's future needs, like education or marriage. They offer add-on benefits such as waiver of future premiums in the case of demise of the parent/guardian during the policy term.
3. **WEALTH CREATION ULIP**: This type of ULIP focuses on long-term capital appreciation for goals like buying a house, wealth building, or legacy planning. Such plans can be an ideal choice if you are in your 20s or 30s and wish to generate capital in the long run.
4. **PROTECTION ORIENTED ULIPs**: Health- or Protection-Oriented ULIPs might include certain riders for critical illness or enhanced health benefits. Although such plans do not replace a comprehensive health insurance policy, they can provide an additional financial cushion in case you are diagnosed with a critical illness.

MAJOR FUNDS

Major Funds are as follows:

1. **Axis Max Life BSE Dividend Stability Index Fund**: The Axis Max Life BSE Dividend Stability Index Fund is a passively managed equity fund. It aims to invest in a basket of stocks drawn from companies listed in the BSE Dividend Stability Index. This index fund therefore primarily invests in large-cap businesses with a proven track record of high dividend payouts. Benchmarked against the BSE Dividend Stability Index, the BSE Largecap Index would serve as the stock universe for this fund. This means that the fund's portfolio will primarily feature financially strong companies with strong cash flows that have historically offered consistent dividend payouts to its stockholders.
2. **Axis Max Life High Growth Fund**: Axis Max Life High Growth Fund is an open-ended multi-cap fund that primarily invests in midcap equities of companies with high growth potential in the long term

3. **Axis Max Life UL Pure Growth Fund**: Axis Max Life UL Pure Growth Fund (SFIN: ULIF02630/12/22PUREGROWTH104) is an open-ended equity-oriented scheme that does not invest in companies that draw a large portion of their income from sectors such as Banking & Financial Services, entertainment such as cinema/television, gambling, specific types of animal produce, tobacco/tobacco products and alcoholic beverages.
4. **Axis Max Life UL Life Secure Plus Fund**: Axis Max Life UL Secure Plus Fund is a debt-oriented scheme focused on providing capital protection to investors. Currently investment in this scheme is allowed only under the Systematic Transfer Plan (STP) strategy
5. **Axis Max Life UL Life Conservative Fund** is an open-ended hybrid fund that predominantly invests in debt instruments with equities comprising a minor portion of the investment portfolio
6. **Axis Max Life UL Life Balanced Fund** :Axis Max Life UL Life Balanced Fund is an open-ended hybrid fund that invests in a mix of domestic equities and debt instruments

KEY FEATURES OF ULIP

ULIP are unique type of life insurance that offers wealth creation benefits. Mentioned below are some key features that set ULIPs apart from other life insurance offerings in India:

1. **Dual Benefits**: ULIPs provide both protection and wealth creation in a single plan. A portion of your premium goes towards life insurance cover, while the rest is invested in market-linked funds. This dual structure offers financial security along with a maturity corpus for long-term goals.
2. **Choice of Funds and Flexibility to Switch**: ULIP offers a wide range of fund options, which are based on your risk appetite and goals. Some of the fund options are: Equity funds, Debt funds, and Balanced/Hybrid funds. Another major feature of ULIP is the freedom to switch between funds. You can switch multiple times within a year. Many ULIPs offer the benefit of unlimited free fund switches

3. **5 Year Lock-In Period:** All ULIPs have a mandatory lock-in period of 5 years. During this period, you cannot surrender your policy or make partial withdrawals, except in case of death. After 5 years, partial withdrawals are usually allowed, subject to conditions. The lock-in promotes long-term discipline and helps your investments benefit from the power of compounding.
4. **Transparent Charges:** The charges in ULIPs are disclosed upfront at the time of policy purchase. Common charges include:
 - Premium Allocation Charge
 - Mortality Charge
 - Fund Management Charge
 - Policy Administration Charge

There is a cap on the overall charges, which is aimed at protecting policyholders

5. **Death and Maturity Benefits:** ULIP offers both death and maturity benefits. Here is closer look at how the maturity and life cover benefits if a unit linked insurance plan work
6. **Death Benefit:** Nominees typically receive the higher of the sum assured or the accumulated fund value.
7. **Maturity Benefit:** If you survive the policy term, you receive the fund value

BENEFITS OF ULIP

ULIP means an opportunity to invest in various market-related securities such as equity, debt, and balanced funds to receive long-term investment returns. ULIP full form is Unit Linked Insurance Plans, which means your investments in funds are subject to market fluctuations. So, you can choose to invest in a variety of fund options with ULIP plan, depending upon your risk appetite and investment objectives.

1. **Market Linked Returns:** ULIP means an opportunity to avail market-linked returns by allocating a portion of the premium invested into market-linked instruments such as debt and equity instruments (in varying proportions)
2. **Life Protection with Investment:** Besides allocating a portion of the premium invested into market-linked instruments, Unit linked Insurance plans provide life cover. Thus, you can avail market-linked returns, while the ULIP plan takes care of your protection needs.
3. **Benefit of Life Cover and Investment:** This is the core strength of a ULIP. It delivers both life cover and wealth creation under a single plan. In the event of your demise within the policy period, your nominee typically receives the higher of the sum assured or the accumulated fund value. If you survive the policy term, you get the fund value at maturity.
4. **Freedom of Investment Choices :**ULIPs offer significant flexibility in how your money is invested. You can choose from a range of funds based on your risk appetite and goals. Most plans allow you to switch between funds as market conditions or your life stages change.
5. **Protection Against Financial Uncertainty :** ULIPs provide a safety net for your family against various unexpected future events like the life insured's untimely demise or diagnosis of critical illness. The life cover benefit of a ULIP plan ensures financial protection through a lump sum payout to nominee. It helps them manage financial responsibilities such as loans, education, or daily expenses.
6. **Tax Benefits: Save More with ULIPs:**ULIPs are among the few products that offer tax benefit at different stages of its investment cycle. Tax benefits of ULIPs start from the initial investment, continue while you stay invested and are even applicable at the time of exit/maturity. This makes them tax-efficient for long-term wealth building. The premiums paid offer the benefit of tax deduction and maturity/death benefits may also be tax exempt subject to applicable terms and conditions.

7. How ULIP Helps You Save on Taxes?: ULIP helps you save tax in several different ways under the Income Tax Act, 2025. Here are a few ways mentioned:

- **ENTRY:** You can claim a deduction up to ₹1.5 lakh per financial year on premiums paid, subject to the overall Section 123 limit and policy conditions.
- **GROWTH:** Fund switches are generally not taxable events
- **EXIT:** Under Section 11 (read with Schedule II, Sr. No. 2), qualifying maturity and death benefits can be tax exempt subject to applicable terms and conditions

AXIS MAX LIFE INSURANCE CO. LTD.

Axis Max Life Insurance Limited, formerly known as Max Life Insurance Company Limited, is a prominent Indian life insurance company headquartered in New Delhi. It operates as a joint venture between Max Financial Services Limited and Axis Bank Limited, with Max Financial Services holding an 80% stake and Axis Bank holding 20%. Axis Max Life Insurance is a joint venture between:

1. **Max Financial Services Limited (MFSL):** Holding an 80% stake, MFSL is part of the Max Group, an Indian multi-business corporation
2. **Axis Bank Limited:** Holding a 20% stake, Axis Bank is one of India's largest private-sector banks

The collaboration between Max Life and Axis Bank evolved from a distribution partnership in 2010-11 to shared branding in 2024, reflecting a deepening strategic alliance

Key Highlights of AXIS MAX LIFE INSURANCE

- **CLAIM SETTLEMENT RATIO (CSR)** The Claims Settlement Ratio shows the percentage of life insurance claims that the company has successfully paid to the families of policyholders. ***The company reported a death claim paid ratio of 99.70% for FY 2025-26, reflecting its commitment to prompt claim settlements*** It reflects the company's commitment to standing by customers and their families when they need financial support the most.
- **STRONG NET WORTH:** Net Worth represents the company's overall financial strength after considering all assets and liabilities. ***A net worth of ₹6,124 crore indicates that Axis Max Life has a strong financial foundation.***
A financially strong insurer is better positioned to meet long-term commitments to policyholders.
- **STRONG ASSET UNDER MANAGEMENT (AUM):** AUM refers to the total amount of money that the company manages on behalf of its policyholders through various insurance funds. ***Axis Max Life manages investments worth approximately ₹1,75,000 crore.***



BHAROSA

that grows
year after year



- **LIVES COVERED**: This represents the total number of individuals protected by Axis Max Life Insurance. ***Around 17.9 million people are covered under Axis Max Life policies.***

Indicates a large and experienced insurance service network

- **STRONGEST SOLVENCY RATIO**: The solvency ratio measures the insurer's ability to meet its financial obligations and future claims. *A ratio of 201% means the company has more than double the minimum regulatory solvency requirement as set by IRDAI*
It reflects Better ability to honour future commitments
- **GROSS WRITTEN PREMIUM (GWP) Growth**: Gross Written Premium represents the total premium income collected by the company. *A growth of 13% shows that more customers are choosing Axis Max Life products, and the company's business is expanding.*
Reflects increasing customer confidence and business momentum
- **RENEWAL PREMIUM GROWTH** : Renewal premium is the premium paid by existing policyholders to continue their policies. *A 14% growth indicates strong customer retention and continued trust.*
Suggests customer satisfaction and long-term relationships
- **Individual New Business Sum Assured**: Sum Assured is the amount of financial protection promised under life insurance policies. *New customers purchased life insurance protection amounting to approximately ₹3.83 Lakh Crore Individual New Business Sum Assured*
- **Customer-Centric Approach**::476 Total Branches Across India of Axis Max Life Insurance emphasizes a need-based sales process and customer-centric engagement, aiming to provide tailored insurance solutions to meet diverse customer needs.
- **Robust Distribution Network**: Axis Max Life Insurance utilizes multiple distribution channels, such as agency networks, bancassurance partnerships (notably with Axis Bank), brokers, and digital platforms, to reach a broad customer base.**Financial Strength:**
- **Awards and Recognition**: The company has been recognized among 'India's Best Workplaces' by Great Place to Work® for its commitment to creating an inclusive and supportive work environment

DRAWBACKS OF BUYING INSURANCE POLICIES ONLINE

 IRDAI PENALTIES IN FY 2024-25	
<i>Follow BFSI Open Data</i>	
Policybazaar Web Aggregator Pvt. Ltd	Rs. 5 cr.
Star Health Insurance Co. Ltd	Rs. 3.39 cr.
Liberty General Insurance Co. Ltd [New]	Rs. 1 cr.
Edelweiss Life Insurance Co. Ltd	Rs. 1 cr.
Acko General Insurance Ltd	Rs. 1 cr.
Flipkart Internet Pvt Ltd	Rs. 1 cr.
UIB Insurance Brokers Pvt Ltd	Rs. 1 cr.
Royal Sundaram General Insurance Co. Ltd	Rs. 1 cr.
Marsh India Insurance Brokers Pvt Ltd	Rs. 1 cr.
SBI Life Insurance Co. Ltd	Rs. 1 cr.
HDFC Life Insurance Co. Ltd	Rs. 2 cr.
Care Health Insurance Ltd	Rs. 1 cr.
Aegon Life Insurance Company Ltd	Rs. 1 cr.
Bajaj Finance Ltd	Rs. 2 cr.
Prowess Insurance Brokers Pvt Ltd	Rs. 37 lacs
Billionbrains Garage Ventures Pvt Ltd	Rs. 5 lacs
Edelweiss Tokio Life Insurance Co Ltd	Rs. 20 lacs
<i>Follow BFSI Open Data</i>	

Here's a detailed, evidence-backed overview of the drawbacks of buying life and **health insurance policies online** – especially focusing on **claim-settlement discrepancies and real-world consumer issues**, with the latest available official and survey data (largely from India, where much of this public data originates):

Rise in Online Insurance Fraud : Involving Major Platforms like Policybazaar

Key Statistics and Survey Findings

- **82% of users have experienced a 'bait and switch'** (lower premiums advertised, higher prices at the time of payment). ****61%** of such cases have surged over the past two years.**
- **8 out of 10 people are falling victim to issues such as 'SUBSCRIPTION TRAPS'**
- **In 85% of cases, personal details were misused to send marketing calls and messages.**
- **90% of users are annoyed by repetitive phone calls and messages (a practice known as 'nudging').**
- **65% of users reported instances of 'drip pricing' or hidden charges.**

Key Highlights

- **The Deception of 'Dark Patterns':** The survey revealed that platforms such as Policybazaar, Acko, ICICI Lombard, Tata AIG, Bajaj Allianz, and HDFC ERGO employ anywhere from 2 to 4 different types of 'dark patterns.
- **Manipulating Customers:** Digital platforms utilize deceptive tactics that induce customers to make hasty decisions – decisions they might not otherwise have intended to make
- **Fine Imposed on Flipkart Internet:** Last year, the IRDAI imposed a fine of ₹1.06 crore on Flipkart Internet for selling insurance products through staff members who lacked adequate training.

- **Regulatory Changes:** Effective July 1, 2026, banks will be required to ensure that no instances of 'mis-selling' occur within their operations. If mis-selling is detected, the banks will be mandated to refund the customer's entire payment.

A. Mis-selling and Information Gaps at the Point of Online Purchase

1. **Complex Policy Terms & Low Understanding:** A large share of potential buyers find online insurance products confusing and hard to understand. **Many buyers drop out mid-purchase because the terms, clauses, and exclusions are perceived as too complex.**
2. **Dark Patterns & Manipulative Interfaces :** A survey of 36,000+ insurance consumers revealed that **61% encountered “subscription traps” or manipulative tactics on online platforms (e.g., difficult cancellation, nagging prompts, forced actions).** These are often called dark patterns, and regulators are increasingly targeting them.

Key takeaway: Convenience can mask inadequate explanations, steering buyers to products that might not match their needs.

B. Claim Settlement Issues – The Most Significant Friction Point

1. While how you buy a policy (online vs offline) shouldn't technically affect claim settlement, **in practice policyholders report frequent issues that often begin with misunderstandings around the policy itself – especially when purchased online with minimal professional guidance.**
2. **Official Data: Rising Complaints on Claims in FY25: Total insurance complaints in India in FY2024-25 reached ~2.58 lakh.**
3. **Health insurance complaints alone rose 41% year-on-year; claim disputes, settlement delays, and partial payouts were the biggest issues.**
4. **Grievance Patterns: In general and health insurance combined, about 69% of grievances were related to claims (delays, rejections, documentation disputes).**

5. **Consumer Experiences:** Surveys show ~43% of health insurance holders struggled to get a claim processed (rejections, partial approvals, or long waits) over the last three years.

6. In some studies, 60% reported discharge delays of 6–48 hours due to claims processing issues — despite regulatory mandates for faster handling.

Breakdown of common claim issues reported:

- Claims refused or partially paid
- Delays in approvals or settlement
- Documentation and pre-authorization disputes
- Confusion over coverage limits and exclusions

C. Why Online Buyers Often Feel Claim Problems Are Worse:

1. **Lack of Personalized Advice:** Unlike an agent or broker, online platforms don't provide tailored explanation of how specific terms (like waiting periods, co-pays, or room limits) affect your claim
2. **Misunderstanding of Key Metrics :** Metrics commonly advertised online — such as “claim settlement ratio” — can be misleading because there is no standardised way companies must calculate or present these ratios. Regulators are now focusing on standardising this, meaning past comparisons may have been unreliable.
3. **Online Purchase Doesn't Guarantee Better Claims:** Some industry commentators and consumers note that only the insurer's internal processes (not the channel of purchase) ultimately determine claim outcomes — but online buyers may be less prepared to challenge denials due to limited upfront guidance.

D. Other Drawbacks Related to Online Insurance:

1. **Digital & Privacy Risks :** While not specific to claims, there have been real cybersecurity concerns in the insurance sector (e.g., data breaches exposing customer information), highlighting the sensitivity of personal data shared online.

2. **Cancellation and Return Challenges** :Many online platforms have **complex or opaque cancellation processes**, making it harder for customers to exit products they don't want soon after purchase.
3. **Emotional & Administrative Stress**: Online purchases without **human assistance can leave consumers feeling unsupported and frustrated when dealing with claim disputes** – increasing stress during already difficult times.

Summary of Major Online Purchase Drawbacks (Life & Health)

Drawback Category	What Happens	Impact on Policyholder
Mis-selling / Misunderstanding	Lack of clear guidance; dark patterns	Wrong product choice; gaps in coverage
Claims friction	Delays, refusals, documentation disputes	Financial stress; time loss
Complex cancellation	Hard to unwind policies	Financial lock-in
Data privacy concerns	Cyber threats to personal info	Risk of identity/data misuse
Misleading metrics	Unclear settlement ratios	Wrong insurer choice

Recent Official IRDAI Action Against PolicyBazaar: IRDAI Penalty on PolicyBazaar

The Insurance Regulatory and Development Authority of India (IRDAI) **slapped a ₹5 crore fine on PolicyBazaar for multiple violations**, including:

1. **Biased product promotion** – advertising certain insurers/products as “top” without independent data (misleading consumers).
2. **Conflict of interest** – key personnel holding directorships without approvals.

3. **Improper outsourcing & premium remittance delays** – not following regulatory norms.
4. **Telemarketing without proper authorised tagging.**

These infractions exposed consumers to misleading information, potential product bias, and delays in premium crediting – undermining trust.

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Irdai slaps Rs 5cr fine on Policybazaar for violations - Times of India

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Irdai slaps Rs 5cr fine on Policybazaar for violations

TNN | Aug 5, 2025, 06:56 AM IST



Mumbai: IRDAI has imposed a record penalty of Rs 5 crore on Policybazaar for several violations found during a remote inspection conducted in June 2020. The breaches include conflict of interest, biased product promotion, irregular outsourcing payments, failure to map telemarketing sales to authorised verifiers, and delays in premium remittance.

The company was fined Rs 1 crore for allowing its principal officer and other key managerial personnel to hold directorships in other firms without prior approval, which the regulator said posed a conflict of interest.

Another Rs 1-crore penalty was imposed for promoting select insurance products as "best" or "top" on its website without using independent third-party data. Irdai said this practice was misleading, created preferential visibility for certain insurers, and restricted consumer choice.

The regulator also cautioned the company on excess commissions, inadequate call recording systems, and poor due diligence on staff with insurance agency licences. Policybazaar has 45 days to remit the fine and may appeal to the Securities Appellate Tribunal.

LIC VS AXIS MAX LIFE - AN ANALYSIS

LIC is a trusted and iconic institution in India, especially valued for safety and long-term stability. However, when returns are compared with private life insurers like Axis Max Life, LIC products often appear less rewarding. The reasons are structural rather than accidental.

1. CONSERVATIVE INVESTMENT APPROACH: LIC follows an extremely cautious investment strategy. A very large portion of its funds is invested in:

- Government Securities
- PSU Bonds
- Low-Yield Fixed-Income Instruments

These are safe, but they generate modest returns, which directly impacts the bonuses and maturity values paid to policyholders

2. Higher Exposure to Government & PSU Obligations: As a government-owned entity, LIC often plays a strategic role in:

- Supporting disinvestment programs
- Investing in stressed or underperforming PSUs
- Acting as a long-term stabilizer in capital markets

While this helps the economy, it can dilute policyholder returns, as such investments are not always return-optimised

3. Traditional “With-Profit” Product Dominance: Most LIC policies are:

- Endowment or money-back plans
- Heavily bonus-driven
- Based on traditional actuarial assumptions

Bonuses are declared conservatively and are not revised frequently, which limits upside even when Markets perform well.

4. Lower Transparency in Return Communication: LIC usually highlights: “Sum Assured + Bonus” rather than clearly communicating IRR (Internal Rate of Return).

In many cases, when IRR is calculated, net returns fall in the range of 4–5% per annum, which is only marginally higher than long-term fixed deposits and often below inflation.

5. High Operating Scale & Legacy Costs : Being a massive, legacy organisation, LIC carries:
 - Large employee and pension obligations
 - Traditional operating systems
 - Slower product innovation cycles

These factors reduce overall efficiency and impact distributable surplus.

6. Safety First’ Philosophy Over Wealth Creation: LIC’s core promise has always been: “Capital protection with guaranteed stability” Not: “Maximised long-term wealth creation” > “Capital protection with guaranteed stability”

So while risk is minimal, return potential is also capped.

Major Drawbacks of LIC Products

1. **High Costs & Legacy Distribution Model**: LIC has a very large agency network (millions of agents + many branches), which drives up its operating costs. ***These costs can translate into less efficient products and lower returns to policyholders***

2. **Limited Investment Flexibility:** Because of regulatory constraints (being government-owned), LIC is required to keep a big portion of its investments in government securities, which may limit its ability to take higher-risk/higher-return bets. ***This can mean lower long-term returns for certain traditional participating (par) policies.***
3. **Opaque Bonus Structure:** Participating policies (with bonus) can be opaque. The costs, how bonuses are calculated, and how they're distributed are not always very transparent. ***This makes it hard for policyholders to accurately know their real internal rate of return (IRR) when they buy.***
4. **Poor Surrender Value / Penalties:** Surrendering LIC's Traditional Policies can be very expensive. According to experts, if you exit early, the surrender value can be very low. ***There's a system of a "discontinuance fund" for some policies, where surrendered money might go, which can give only a modest return (reported ~4%) and may not be paid out immediately.***
These high exit costs discourage people from leaving, even if better options exist.
5. **Persistency Issues:** ***LIC's persistency (i.e., how many policyholders renew their premiums) hasn't always been very strong.***
High lapsation (people stopping paying) can hurt both the policyholder (because of poor returns or surrender loss) and LIC's business model.

6. **Regulatory Risk:** New surrender-value regulations (from IRDAI) are putting pressure on LIC's margins. ***Because LIC is publicly owned, some of its profits or capital could be diverted for national policy goals, potentially affecting how it manages its finances.***
7. **Digital Experience:** LIC's digital capabilities are improving, but many feel it still lags behind private insurers in terms of smooth online buying, servicing, and user experience. For modern customers who prefer doing everything online, this can be a disadvantage.
8. **Lower Returns for Policyholders:** Some LIC traditional plans may give fairly modest real returns (when adjusted for inflation), especially compared to market-linked investment alternatives

In some cases, policyholders claim they recover only a small fraction of their premiums on surrender

The core problem

1. Low nominal returns. Typical LIC endowment plans give ~4%–6% annual return (XIRR)

Example: ***Many policies end up around ~4.5–5% IRR. while India's long-term inflation $\approx$ 5–7%***

- If your LIC return = 5%
- Inflation = 6%
- ***Real return = negative (~ -1%).*** Meaning: Your money grows in number. But loses purchasing power

✓ This is officially acknowledged as a risk: LIC returns may struggle to beat inflation

Why LIC gives lower returns (structural reasons):

2. Insurance + investment mix (biggest flaw): LIC is not pure investment. Your premium is split into:

- Insurance (Mortality Cost)
- Savings/investment

So only part of your money is invested. Hence lower compounding

3. Heavy allocation to safe assets: LIC invests mostly in: Government bonds & Debt instruments
These are low-risk → low-return assets. So naturally

- No equity exposure
- No wealth creation

4. High hidden costs: Your premium includes

- Agent commission
- Mortality charges
- Admin charges

These reduce returns directly

5. Bonus-based opaque returns : LIC doesn't give a fixed interest rate. Returns depend on bonuses declared yearly. Problems:

- Not guaranteed (except some parts)
- Hard to calculate actual return
- Often overestimated in sales pitch

6. Long lock-in → compounding inefficiency

- Policies run 15–30 years
- Early surrender = heavy loss

7. Focus = safety, not growth: LIC is designed for

- Capital safety
- Guaranteed payouts

That's why returns are intentionally conservative

MAJOR DRAWBACKS AT A GLANCE

1. Cannot beat inflation: Real wealth erosion over long term
2. Very low returns (~4–6%): Comparable to or worse than FD
3. Poor insurance coverage: You pay high premium but get low sum assured
4. Illiquid: Surrender penalties Long lock-in
5. Complex & opaque: Bonuses, additions → confusing
6. Opportunity cost: You miss: Equity compounding & wealth creation

The fundamental mistake people make People treat LIC as: “investment product”. But actually it is: “insurance + low yield savings product” & Mixing both = suboptimal outcome

Private Insurers Differ (Axis Max Life)

Private insurers generally

- **Invest more dynamically (within IRDAI norms)**
- **Offer ULIPs, PAR & Non-PAR products with higher efficiency**
- **Focus on IRR-based return visibility**

Align surplus distribution more directly with policyholder benefit. This often results in better long-term outcomes, especially for financially aware clients

LIC VS AXIS MAX COMPARISON

- **LIC participating policies do not publish standard market returns like ULIP funds. Instead they declare simple reversionary bonuses + FAB annually.**
- Latest **bonus structure shows higher bonus slabs for larger sum assured but actual IRR is not formally published** centrally. Bonus rates are declared annually and depend on surplus from LIC's investment and actuarial results
- Independent return calculators suggest that **traditional LIC participating plans often generate effective annualised returns around ~4–6% over long terms** (varies by plan and term length) — lower than equity-linked or balanced ULIP fund returns.

LIC BONUS RATES are Per ₹1,000 SUM INSURED and depend on future surplus. Past bonus charts show for example typical bonus rates of ~Rs.40–50 per ₹1,000 SA for long-term plans — but this is only part of the final matured value

METRIC	LIC PARTICIPATING PLANS	AXIS MAX LIFE (ULIP)
CSR (Claims settled in 30 days, number of policies)	96.42%	99.70%
CSR (By amount paid within 30 days)	~95.23%	~99.97%

METRIC	LIC PARTICIPATING PLANS	AXIS MAX LIFE (ULIP)
Bonus & Participating Policy Allocation	- LIC's traditional participating plans rely on declared bonuses (reversionary + terminal) which are not directly linked to market performance and can be conservative. - Bonus rates are declared annually and depend on LIC's overall surplus, which can lead to variability in returns. - LIC does not typically publish a clear IRR for its participating plans, making it harder for consumers to compare with market-linked products. - Bonus rates are declared annually, but no central IRDAI report publishes a comparable "total bonus quantum" like a private insurer's PAR disclosure	- Axis Max Life's ULIP products offer market-linked returns based on the performance of underlying funds (equity, debt, balanced). - ULIPs have clearly defined fund options with published NAVs and returns, allowing for transparent IRR calculations. - Axis Max Life provides regular disclosures on fund performance and returns, making it easier for policyholders to track their investment growth. - Declared ₹2,135 Cr PAR bonus for FY24-25, covering 21 lakh+policies. PAR Fund grew from ~₹67,722 Cr to ~₹74,119 Cr, a strong growth trend

METRIC	LIC PARTICIPATING PLANS	AXIS MAX LIFE (ULIP)
Practical Return Context	Typical LIC participating IRRs calculated by independent tools often fall below balanced market returns, especially in inflation-adjusted terms.	Axis Max Life market-linked returns (ULIP funds) typically show higher CAGR over the long term vs LIC traditional participating returns which are shaped mostly by bonus declarations and interest rates.
Risk & Stability	LIC: Very conservative, guarantees +participation → less volatile but lower upside potential	Axis Max Life ULIPs/participating plans: Market-linked growth + disciplined PAR bonus strategy aiming for balance between upside and stability.
Transparency & Control	LIC: Limited transparency on returns; policyholders rely on declared bonuses without clear IRR visibility.	Axis Max Life: Clear fund performance disclosures, NAV tracking, and IRR visibility for informed decision-making.
Customer Service & Claims	LIC: CSR around 96.42% (claims settled in 30 days by number of policies) and ~95.23% (by amount paid).	Axis Max Life: Superior CSR with ~99.70% (claims settled in 30 days by number of policies) and ~99.97% (by amount paid).

METRIC	LIC PARTICIPATING PLANS	AXIS MAX LIFE (ULIP)
Claims Service &	LIC has high absolute volume but comparatively lower speed ratio in settling claims within 30 days.	Axis Max Life demonstrates superior claims settlement speed, which is crucial for policyholders during critical times

Why Some People Consider Axis Max Life (or Private Players) “Better”. Here are some of the strengths of Axis Max Life compared to LIC, depending on what you prioritise: ***Axis Max Life’s ULIP products provide more dynamic, market-linked returns with greater transparency, making them a compelling choice for policyholders seeking better long-term growth potential alongside insurance coverage.***

- I. **HIGH CLAIM SETTLEMENT RATIO (CSR):** ***Axis Max Life has a very strong Death Claims Paid Ratio (~99.70%) per audited numbers.*** That gives policyholders confidence that claims will be handled well.
- II. **FINANCIAL STRENGTH & SOLVENCY:** ***Axis Max Life’s solvency ratio is very healthy (172%, per its disclosures).*** Strong solvency shows the company is well-capitalised and likely to meet its long-term obligations
- III. **FLEXIBLE PRODUCTS:** Their ***SMART TERM PLAN PLUS*** offers multiple variants: ***Return of Premium, Whole Life Cover, etc.*** They have options to scale your coverage (life-stage add-on), which is helpful if your life needs change (e.g. kids, home, loan).

Premium holiday: you can skip premium twice in a year (subject to conditions) in the term plan.
Voluntary top-up: Increase your coverage mid-term (after underwriting) if required.

- IV. **RIDER OPTIONS**: Axis Max Life offers a good set of riders (e.g., CRITICAL ILLNESS, WAIVER OF PREMIUM) to customise protection.

This gives more “*protection + investment*” *mix options vs fixed traditional* policies.

- V. **SAVINGS/INVESTMENT PRODUCT DESIGN**: Their ULIP / Savings plans have features like unlimited free fund switches and smart withdrawals. There’s also a non-linked savings plan (Smart Wealth / Savings Advantage) that gives guaranteed additions (e.g., 5.5% for the first). This means more flexibility for investing and managing funds compared to traditional participating policies.

- VI. **TRANSPARENT & MODERN EXPERIENCE**: Axis Max Life’s digital presence is strong (you can apply online, manage policy, etc.). Their communication around product features (death benefit, maturity, riders) is relatively more structured

- VII. **GOOD FOR PROTECTION-ORIENTED CUSTOMERS** : *If you’re primarily looking for term insurance (pure protection), Axis Max Life’s term plans may be more competitive and easier to understand than traditional LIC plans.*

- VIII. **CUSTOMISATION FOR LIFE GOALS**: With flexible payout options (lump sum, income, combo), you can tailor the benefits to match life-stage needs — this is very useful for planning for family, retirement, or liabilities.

For example, in their ***SMART TERM PLAN PLUS***, there is a ***“Smart Cover” variant that increases sum assured in early years (helpful when liabilities like home loan or child costs are high)***.

Sources: IMF/Ministry of Finance/RBI/IRDAI

A business card for Girish Gaur, an insurance advisor. The card has a blue and orange color scheme. It features the Axis Max Life Insurance logo on the left and the Niva Bupa Health Insurance logo on the right. The name 'GIRISH GAUR' is prominently displayed in the center, with his roles as an advisor for both companies listed below. Contact information, including two phone numbers, two email addresses, a QR code, and a small portrait photo, is provided at the bottom.

 **GIRISH GAUR**
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